



MODULE NOTE FOR INSTRUCTORS

A Behavioral Science Perspective on Motivation and Incentives

I. Introduction

Managers in organizations must motivate employees to work hard, work “smart,” work together, and work towards a common purpose. This module note describes a framework that helps managers understand the drivers of human motivation and tap into these drivers to improve organizational performance through the design and management of incentive systems.

The framework and teaching materials discussed in this module note are currently used in the Harvard Business School MBA Elective Curriculum course titled “Motivation & Incentives,” which the authors of this module note co-teach with Brian Hall. “Motivation & Incentives” inherits a strong legacy of courses taught at the Harvard Business School on the topic of energizing and directing employee effort. It is a successor to the course “Coordination, Control, and Management of Organizations: Incentive Strategy” (CCMO). CCMO offered students a framework built on the principal-agent model from the field of economics, which analyzes situations in which an agent (e.g., an employee) takes actions on behalf of a principal (e.g., an employer) and the principal establishes an incentive system to better align the agent’s interests with the principal’s.¹ The CCMO framework highlights the tradeoffs that managers face as they “bring the market inside the firm” –that is, as they create price signals within an organization to guide employee behaviors. For example, consider an employee engaged in a production task. One lesson from the CCMO framework is that if a manager provides the employee with rewards that grow with the quantity of the employee’s output, the employee is likely to increase effort and thereby increase output, but the employee might also decrease the quality of the output.

The CCMO lens for guiding managers in the design of organizational incentive systems provides many powerful insights, but it focuses primarily on the use of material rewards, especially money, as tools for motivating employee behavior.² The main objective of the module described in this note is to

¹ Michael Jensen, one of the founders of modern principal-agent theory, was an instructor for CCMO. Later iterations of CCMO were titled “Managing, Organizing, and Negotiating for Value” (MONV) and “Managing, Organizing, and Motivating for Value” (MOMV).

² As explained by Brian Hall, “despite the fact that incentives are broader than money, money is a very widely used currency (pun intended) for incentive design in organizations. And much of incentive strategy is about aligning monetary rewards with

build on foundational CCMO insights by weaving in ideas from the behavioral science perspective on human motivation, which draws inspiration from fields across the social sciences, particularly psychology and organizational behavior, and emphasizes a wide array of sources of motivation beyond material rewards. The key contribution of the framework presented here, which distinguishes it from many existing perspectives on employee motivation from psychology and organizational behavior, is that it integrates the behavioral science perspective on motivation into the conceptual apparatus provided by the principal-agent model from economics. For example, the framework highlights that an organization's monetary compensation policies help to determine the types of individuals who become employees of the organization, thereby influencing the extent to which employees are motivated by the fulfillment that comes from serving the organization's mission. At the end of the module presented in this note, students will be familiar with a set of motivational tools that extend beyond offering employees material rewards that vary according to measured performance, and students will understand how organizational incentive systems, broadly defined, interact with the range of motivators of human behavior.

This module is appropriate for MBA and executive education courses that focus on the design of incentive systems, but it is also appropriate for courses on the general topic of human resource management or on applications of behavioral science in organizations. In the Harvard Business School MBA Elective Curriculum course "Motivation & Incentives," this module is taught after a module that briefly introduces students to the CCMO perspective on organizational incentive systems. Brian Hall's note "Incentive Systems" (Harvard Business School note 916-029) provides a detailed discussion of the key concepts that emerge from that module, along with suggested cases for illuminating those concepts. Section II of the present document briefly reviews these foundational insights. Section III presents the behavioral science perspective on motivation and incentives that is the core of this module note, and it explains the insights that emerge from this perspective. Section IV summarizes a series of cases that collectively give students the opportunity to discover, understand, and apply the framework. Section V concludes.

II. The CCMO Perspective

This section summarizes insights that result from analyzing the effectiveness of incentive systems using the CCMO lens. The discussion closely follows Brian Hall's note "Incentive Systems" (Harvard Business School note 916-029).³ Instructors should consult that document if they are interested in further details, but the key ideas from that document are presented here because they serve as the foundation for the framework that we develop in Section III.

The starting point for the analysis of incentive systems is the claim that organizations exist to create value. An organization brings together a collection of inputs—human effort, raw materials, the use of capital equipment, and the rights to intellectual property, among other inputs—and produces goods, services, or other outputs. The organization creates value when the value of the outputs exceeds the sum of the values of the inputs, where the values of the inputs are determined according to their best alternative uses. Here, the notion of value is broad. In the case of a for-profit entity, the flow of

performance." Brian J. Hall, "Incentive Systems," Harvard Business School Note 916-029 (Boston: Harvard Business School Publishing, 2015), p. 9.

³ Seminal articles on this topic include Michael C. Jensen and William H. Meckling, "Theory of the Firm: Managerial Behavior, Agency Costs and Ownership Structure," *Journal of Financial Economics* 3 (1976): 305–360; Sanford J. Grossman and Oliver D. Hart, "An Analysis of the Principal-Agent Problem," *Econometrica* 51 (1983): 7–45; and Bengt Holmstrom and Paul Milgrom, "Multitask Principal-Agent Analyses: Incentive Contracts, Asset Ownership, and Job Design," *Journal of Law, Economics, & Organization* 7 (1991 Special Issue): 24–52.

monetary profits generated by the organization may be a useful proxy for the value created by the organization, but there are many other components of value creation, including the organization's positive impacts on customers, employees, suppliers, communities, the environment, and society as a whole.⁴

Managers play many roles that facilitate value creation. They contribute ideas regarding the products that an organization could develop. They make key strategic decisions, such as the decision of whether to enter a new market. Another important role of managers, and the focus of this module note, is to motivate others affiliated with the organization, especially employees, to contribute to the organization's value-creating mission.

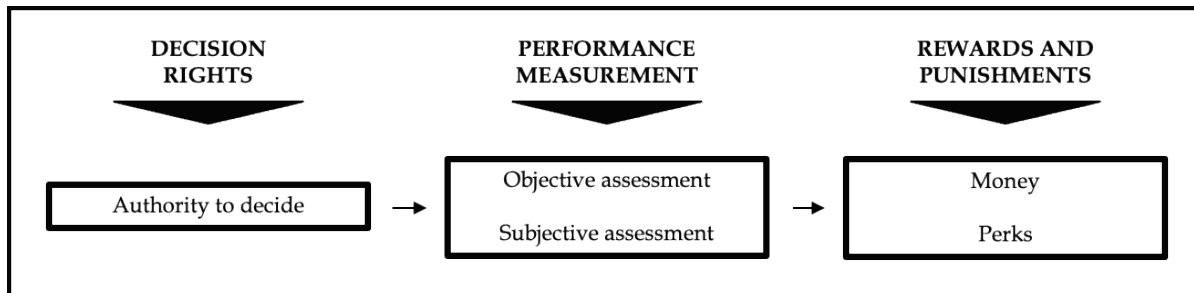
Managers can use a variety of techniques to motivate employees to create value. One of the primary tools available to managers is the design of incentive systems, which Brian Hall defines as “[t]he formal and informal rules that determine the ways in which the value creation and destruction [caused by an organization] are divided among the value creators and destroyers within an organization, which in turn affects the amount of value that is created or destroyed.”⁵

Exhibit 1 shows the three key ingredients for an organizational incentive system:

1. An incentive system assigns decision rights to employees of the organization, delineating the situations in which each employee does and does not have the authority and responsibility to choose one course of action over others.
2. An incentive system defines performance measures that assess the outcomes of employees' choices as they exercise their decision rights. Performance measures can be objective (e.g., the dollar value of a salesperson's quarterly sales volume) or subjective (e.g., a colleague's judgment of an employee's contributions to the team over the past year).
3. An incentive system specifies the rewards and punishments that employees receive as a function of the outcomes captured by the performance measures. The CCMO lens focuses on material rewards, such as money and perquisites (“perks”).

⁴ An organization's positive impact on a given constituency is the benefit to that constituency over and above the benefit that would accrue to the constituency if the organization did not exist and the constituency experienced the next best alternative. Of course, an organization may have a negative impact on a constituency, and this effect should be counted against the organization as value destroyed.

⁵ Brian J. Hall, “Incentive Systems,” Harvard Business School Note 916-029 (Boston: Harvard Business School Publishing, 2015), p. 2.

Exhibit 1 The Three Key Components of an Organizational Incentive System

Source: Adapted from Brian J. Hall, "Incentive Systems," Harvard Business School Note 916-029 (Boston: Harvard Business School Publishing, 2015), p. 7.

Exhibit 1 serves as a useful schematic for discussing the central ideas derived from the CCMO perspective on incentive systems. Three of these ideas are described below.

1. A pay-for-performance system can improve performance.
 - a. A pay-for-performance system is an incentive system that offers employees higher monetary rewards for greater productivity according to designated metrics.
 - b. Relative to a flat wage (i.e., a wage that does not vary with performance metrics), pay for performance can motivate employees to exert greater effort.
 - c. A key determinant of whether pay for performance motivates greater effort is the controllability of the performance measure—the extent to which an individual employee's actions determine the outcomes captured by the performance measure. When controllability is low, pay for performance might have only a small effect on effort because effort has a small effect on the performance measure and hence a small effect on pay.⁶
 - d. Pay for performance can change the mix of employees who work for the organization. Employees who are more productive according to the designated metrics are more likely to be attracted to and retained by the organization.⁷
 - e. In the Harvard Business School MBA Elective Curriculum course "Motivation & Incentives," the cases "Performance Pay at Safelite Auto Glass (A) and (B)" (Harvard Business School cases 800-291 and 800-292) are used to illustrate the potential effects of pay for performance. Safelite Auto Glass was a company that installed windshields for cars and trucks. Initially, it offered an hourly wage for windshield installers. It introduced a system that compensated installers based on the number of windshields they installed. The pay-for-performance system increased productivity by 40%. Approximately half of the increase

⁶ According to Expectancy Theory, an employee will exert more effort when there is a tighter link between effort and measured performance (i.e., when controllability is greater), when measured performance has a stronger positive effect on the rewards that the employee receives, and when the employee values the rewards more highly. Victor H. Vroom, *Work and Motivation* (New York, NY: John Wiley & Sons, 1964).

⁷ Edward P. Lazear, "Performance Pay and Productivity," *American Economic Review* 90 (2000): 1346–1361.

was due to increased effort, and the other half was due to the selection of more productive employees into the workforce.⁸

- f. The Safelite example underscores the value of **Exhibit 1**. Under the pay-for-performance system, employees had decision rights over the amount of effort they exerted installing windshields. The results of employees' choices were captured by a performance measure, namely the number of windshields installed. The performance measure was connected to the amount of money paid to employees as a reward. The links in this logical chain were strong, so the pay-for-performance system increased performance.
2. In a pay-for-performance system based on objective performance measures, there is a tradeoff between controllability and alignment.
 - a. It is difficult to measure value creation accurately. In an ideal world, an organization would reward employees according to the amount of value that they create, but in practice, an organization must reward employees according to an imperfect proxy for value creation. This difficulty in measurement creates an alignment problem: pay for performance encourages employees to exert effort in a way that improves their measured performance, which often involves both behaviors that create value and behaviors that destroy value.⁹
 - b. Recognizing the alignment problem, a manager may reward an employee based on broad objective performance measures that reflect the overall performance of the organization. In the context of a for-profit entity, a broad measure might be total profits. These measures offer a high degree of alignment—the financial interests of the employee and those of the organization are closely linked.¹⁰ However, these measures suffer from the problem of low controllability. An employee who is not in a key leadership position has very little control over the organization's overall performance. Whether or not the employee undertakes efforts to create value has little bearing on the monetary rewards that the employee receives, so the employee has weak financial incentives to engage in value-creating behaviors.
 - c. A manager may instead reward an employee based on narrow objective performance measures, such as the output directly attributable to the employee. These measures feature high controllability. However, they have low alignment. For example, offering rewards for output directly attributable to the employee might decrease the employee's efforts to help coworkers, even if helping coworkers would create value.¹¹
 - d. In the Harvard Business School MBA Elective Curriculum course "Motivation & Incentives," the cases "YAAS's Service Center (A), (B), and (C)" (Harvard Business School cases 914-049, 914-050, and 914-051) illustrate the tradeoff between controllability and alignment inherent to objective performance measurement. The Yusuf A. Alghanim & Sons (YAAS) main service center provided maintenance and repairs to vehicles in the Kuwait City area. It switched from an incentive system that paid technicians for their individual

⁸ Ibid.

⁹ Bengt Holmstrom and Paul Milgrom, "Multitask Principal-Agent Analyses: Incentive Contracts, Asset Ownership, and Job Design," *Journal of Law, Economics, & Organization* 7 (1991 Special Issue): 24–52.

¹⁰ Of course, the financial interests of the organization may not be aligned with society's goal of overall value creation. This point is important, but it is not central to understanding the general idea that there is a tradeoff between alignment and controllability.

¹¹ Bengt Holmstrom and Paul Milgrom, "Multitask Principal-Agent Analyses: Incentive Contracts, Asset Ownership, and Job Design," *Journal of Law, Economics, & Organization* 7 (1991 Special Issue): 24–52.

productivity to a system that paid teams of approximately ten technicians each for their team productivity. The broader performance measure in the new incentive system featured lower controllability and hence weaker incentives for individual effort because an individual's own efforts played only a small role in the overall performance of the team.¹² However, the broader performance measure featured higher alignment and hence stronger incentives for value-creating behaviors such as sharing productivity-enhancing knowledge with coworkers.

3. An incentive system that relies on subjective performance measures in addition to objective performance measures can break the tradeoff between alignment and controllability.
 - a. An organization can collect subjective evaluations of an employee's contributions to value creation from managers, peers, subordinates, and others, and the organization can then attach monetary rewards to a summary of those evaluations.
 - b. A compensation system based on subjective performance measures has the potential to create both strong incentives (because employees have a high degree of control over the performance measure) and aligned incentives (because the performance measure tracks the value that employees create).¹³
 - c. However, a compensation system based on subjective performance measures can easily fail to create strong incentives or aligned incentives if the evaluators do not provide accurate information, if the interpreters of the information do not synthesize it skillfully or fairly, or if politics and gaming undermine the system or cause trust in the system to collapse.¹⁴
 - d. In the Harvard Business School MBA Elective Curriculum course "Motivation & Incentives," the case "Massachusetts Financial Services (Abridged)" (Harvard Business School case 913-036) provides an example of a well-functioning incentive system based on subjective performance measurement. Massachusetts Financial Services (MFS) was a mutual fund management company. In the MFS compensation system, the financial returns of an investment manager's portfolio certainly played a role in determining the manager's compensation, but the company also determined compensation based on extensive data gathered from coworkers regarding the manager's mentoring and other contributions to team success.

III. The Behavioral Science Perspective

The previous section summarized insights derived using the CCMO lens for analyzing incentive systems. The current section pursues the main objective of this module note, which is to build on the ideas from the previous section by incorporating a behavioral science perspective on motivation.

Motivation is a complex, multi-faceted aspect of human psychology. At a cognitive level, motivation may be grounded in an assessment that the benefits and costs associated with an action make the action preferred to other possible actions. However, motivation is not purely a matter of predicting the future

¹² Bengt Holmstrom, "Moral Hazard in Teams," *Bell Journal of Economics* 13 (1982): 324–340.

¹³ George Baker, Robert Gibbons, and Kevin J. Murphy, "Subjective Performance Measures in Optimal Incentive Contracts," *Quarterly Journal of Economics* 109 (1994): 1125–1156.

¹⁴ George P. Baker, Michael C. Jensen, and Kevin J. Murphy, "Compensation and Incentives: Practice vs. Theory," *Journal of Finance* 43 (1988): 593–616.

consequences of all potential courses of action and implementing the one that careful deliberation reveals to have the best balance of benefits and costs. Motivation also rests on intuitive judgments and affective considerations, as in the case of a person who judges a situation to be unfair and is driven by feelings of outrage to right a wrong. Furthermore, the set of benefits and costs that are relevant for motivation extends well beyond material rewards and punishments, as in the case of a person who is motivated to engage in an action because it is most consistent with who the person is, who the person wishes to be, or the ideals and principles that the person upholds.¹⁵

The perspective on motivation presented in this module note is based primarily on self-determination theory, a widely embraced psychological theory that conceptualizes the rewards that motivate behavior as falling in categories that occupy a spectrum from purely extrinsic to purely intrinsic.¹⁶ **Exhibit 2** summarizes these categories. On one end of the spectrum, employees are motivated by extrinsic rewards when they are working to obtain rewards that are external to the work. Money and perks (e.g., access to a workplace gym or other amenity) are leading examples of extrinsic rewards, but employees also value extrinsic social rewards, such as compliments and praise from coworkers. On the other end of the spectrum, employees are motivated by intrinsic rewards “when they seek enjoyment, interest, satisfaction of curiosity, self-expression, or personal challenge in the work.”¹⁷ Employees who are motivated by intrinsic rewards are driven by the pleasure that derives directly from performing the task, not because they are seeking out an external reward. For example, an engineer might be intrinsically motivated to solve a puzzling design problem simply because the process of engaging with the problem is enjoyably challenging. Intrinsically oriented motivation predicts higher engagement and commitment than extrinsically oriented motivation,¹⁸ but it is difficult, if not impossible, for managers to rely solely on increasing employees’ intrinsic motivation to drive value creation. Thus, managers must consider the full spectrum of rewards.

¹⁵ A. H. Maslow, “A Theory of Human Motivation,” *Psychological Review* 50 (1943): 370–396. Lea Cassar and Stephan Meier, “Nonmonetary Incentives and the Implications of Work as a Source of Meaning,” *Journal of Economic Perspectives* 32, no. 3 (Summer 2018): 215–238.

¹⁶ For a summary of self-determination theory, see Richard M. Ryan and Edward L. Deci, “Self-determination Theory and the Facilitation of Intrinsic Motivation, Social Development, and Well-being,” *American Psychologist* 55 (2000): 68–78.

¹⁷ Teresa M. Amabile, “Motivational Synergy: Toward New Conceptualizations of Intrinsic and Extrinsic Motivation in the Workplace,” *Human Resource Management Review* 3 (1993): 188.

¹⁸ For reviews, see Lara B. Akin and Ashley V. Whillans, “Helping and Happiness: A Review and Guide for Public Policy,” *Social Issues and Policy Review* 15 (2021): 3–34, as well as Richard M. Ryan, Richard Koestner, and Edward L. Deci, “Ego-involved Persistence: When Free-choice Behavior Is Not Intrinsically Motivated,” *Motivation and Emotion* 15 (1991): 185–205.

Exhibit 2 The Categories of Rewards Underlying Motivation

<u>Category</u>	<u>Definition</u>	<u>Example</u>
Extrinsic	Extrinsic rewards are external to the task at hand.	Money (e.g., salary, a monetary bonus) is the quintessential example of an extrinsic reward. Social approval and recognition are other examples.
Introjected	Introjected rewards and punishments are internal positive and negative emotions that employees are driven to attain and avoid, respectively.	An employee might feel anxious about giving a speech in front of their company but might engage in the behavior because they wish to avoid the guilt associated with letting down their team.
Identified	Identified rewards arise when an employee completes an action because they identify with the broader purpose of the activity.	An employee might feel uncomfortable helping at a local soup kitchen as part of a company volunteering initiative but might engage in the activity anyway because they identify with its purpose.
Integrated	Integrated rewards derive from actions that are consistent with and reaffirm an employee's self-identity.	An employee who felt uncomfortable initially when giving junior employees feedback might come to believe so strongly in their identity as a mentor that they no longer feel stress when enacting the behavior.
Intrinsic	Intrinsic rewards are internally experienced rewards, such as pleasure or enjoyment, that stem directly from performing the action.	An employee works on a scientific problem because they like the challenge of working on a difficult problem and want to be able to solve it.

Source: Case authors.

Between the purely extrinsic end of the spectrum and the purely intrinsic end of the spectrum lie introjected, identified, and integrated rewards. Technically speaking, these types of rewards are extrinsic because an individual who is driven by them is engaging in behaviors for externally motivated reasons, not for the pure enjoyment of the behaviors themselves. However, these rewards also have intrinsic qualities because the individual has the experience of engaging in these behaviors at least in part because of an internal motivation. Introjected rewards drive an individual to enact certain behaviors to avoid internal feelings of shame or guilt (e.g., for a job done poorly) or to enjoy internal feelings of pride (e.g., for a job well done). Identified rewards stem from an individual's identification with the value or meaning attached to an activity, even if the activity itself is not enjoyable. Integrated rewards are based on internalized beliefs about the importance of the behavior as part of an individual's identity. An activity that might have started off as a task completed for someone else—that is, an externally motivated task—can become a core part of an individual's identity, and the individual can then be motivated to engage in the activity because it is consistent with and reaffirms

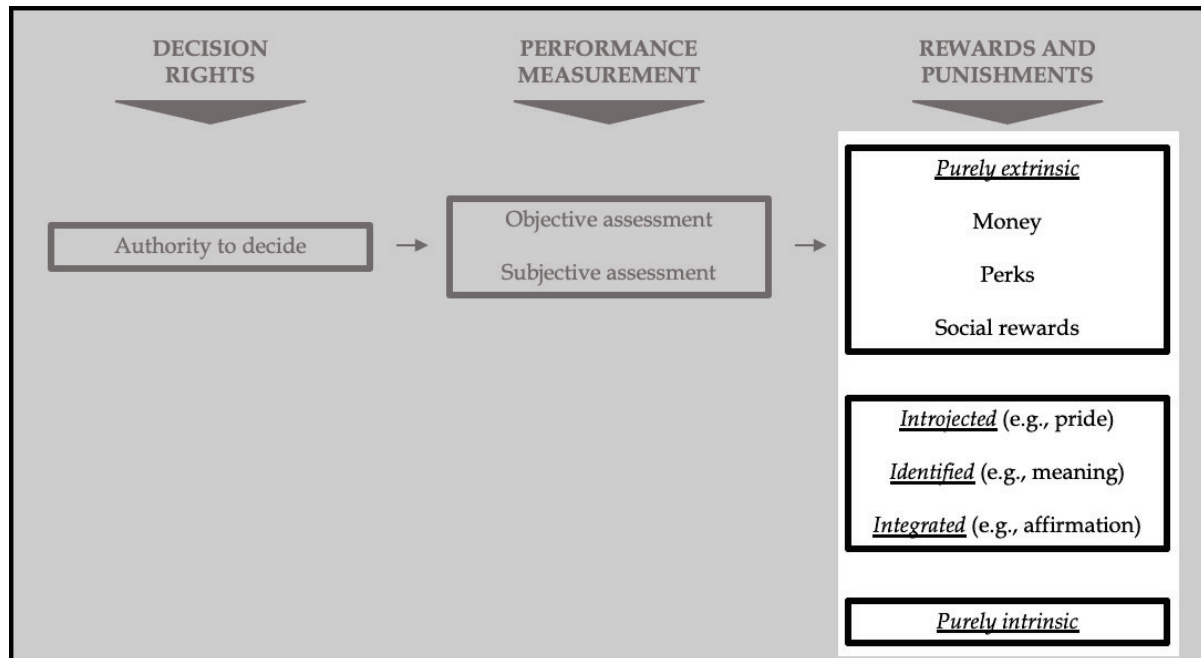
that self-concept. For example, an employee might at first feel anxious about giving negative feedback to colleagues. Eventually, however, they may no longer feel anxiety when enacting the behavior because they have come to believe it is part of their identity as a mentor.¹⁹

The key contribution of this module note is to incorporate an understanding of the spectrum of motivational rewards, described immediately above, into the CCMO framework, described in Section II. We will build the expanded framework piece by piece, starting with the conceptual map shown in **Exhibit 1** as the foundation and adding elements that are drawn from the behavioral science perspective on motivation.

As shown in **Exhibit 3**, the first step in this construction process is to expand the set of rewards under consideration. Beyond the material rewards emphasized by the CCMO lens, including money and perks, the expanded set of rewards recognizes extrinsic rewards that are based on social interaction, such as compliments from colleagues. The expanded set of rewards also includes introjected, identified, integrated, and purely intrinsic rewards. Introjected, identified, and integrated rewards are grouped together because in many situations, they go hand in hand—if an individual finds an activity meaningful (and therefore receives identified rewards from engaging in it), the individual is likely to feel pride (an introjected reward) when performing the activity and might also internalize the meaning of the activity as part of their self-identity (linking the activity to integrated rewards). Still, it is useful to label introjected, identified, and integrated rewards separately because the distinctions among them provide conceptual clarity. For example, individuals sometimes adhere to social norms because adherence is met with social approval, a form of purely extrinsic reward. In other situations, however, individuals adhere to social norms even when their behavior is not observed by others. Individuals might enact prescribed behaviors in these situations because they experience pride, an introjected reward, when they adhere to social norms. This possibility clarifies that private adherence to norms is not always driven by identification with the meaning of the prescribed behavior or by internalization of the prescribed behavior as a means of reaffirming self-identity.²⁰

¹⁹ Where this module note refers to behaviors driven by “rewards” (e.g., “introjected rewards”), self-determination theory refers to behaviors driven by “regulatory styles.” This module note uses the term “rewards” because it is likely more intuitive to practitioners and because it more clearly links self-determination theory to the module’s focus on incentive systems.

²⁰ See Section III.E for a discussion of the relationship between introjected rewards and social norms.

Exhibit 3 Expanding the Conceptual Framework to Include the Spectrum of Motivational Rewards

Source: Case authors, building on Brian J. Hall, "Incentive Systems," Harvard Business School Note 916-029 (Boston: Harvard Business School Publishing, 2015), p. 7.

Also, while it is valuable to distinguish among purely extrinsic, introjected, identified, integrated, and purely intrinsic rewards, it is important to note that as a shorthand, the terms "extrinsic motivation" and "intrinsic motivation" are frequently used to refer to motivation that derives mostly from external rewards on the extrinsic end of the spectrum and mostly from internal rewards on the intrinsic end of the spectrum, respectively. Of course, at any given moment, people are likely motivated by a mix of types of rewards across the spectrum. Furthermore, some motivational forces are difficult to classify as deriving mostly from external rewards or mostly from internal rewards. For example, humans have an innate desire to connect with other humans—the "drive to bond" in the lexicon of Lawrence and Nohria.²¹ Individuals are driven to seek out interpersonal connections and to engage in social interactions due to both intrinsic and extrinsic motivation. Forming and maintaining bonds with others can provide intrinsic satisfaction and enjoyment. For example, employees with a "best friend" at work report higher well-being and higher job engagement.²² Interactions with colleagues can also

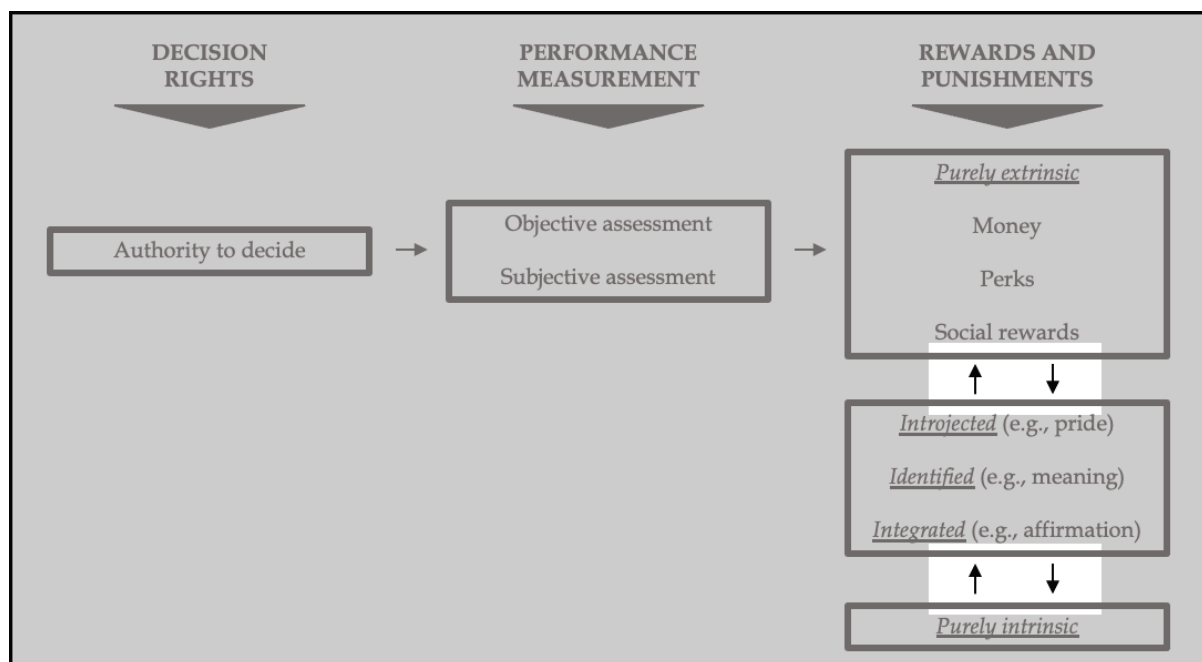
²¹ Paul R. Lawrence and Nitin Nohria, *Driven: How Human Nature Shapes Our Choices* (San Francisco, CA: Jossey-Bass, 2002). See also Sigal G. Barsade and Olivia A. O'Neill, "What's Love Got to Do with It? A Longitudinal Study of the Culture of Companionate Love and Employee and Client Outcomes in a Long-term Care Setting," *Administrative Science Quarterly* 59 (2014): 551–598.

²² Tom Rath and Jim Harter, *Well Being: The Five Essential Elements* (New York, NY: Gallup Press, 2010). See also Jan-Emmanuel De Neve and the Workplace Well-being Committee (Amy Blankson, Andrew Clark, Cary Cooper, James Harter, Christian Krekel, Jenn Lim, Paul Litchfield, Ewen McKinnon, Jennifer Moss, Michael Norton, Mariano Rojas, George Ward, and Ashley Whillans), "Work and Well-being: A Global Perspective," Chapter 5 in The Global Happiness Council, *Global Happiness Policy Report 2018* (New York, NY: Sustainable Development Solutions Network, 2018): 75–128.

serve extrinsic, instrumental purposes, for example because they provide employees with career advancement and skill-building opportunities.²³

Having introduced the spectrum of motivating rewards into the conceptual map, the next step is to recognize that rewards from across the extrinsic-intrinsic spectrum not only coexist as sources of motivation but also interact with each other. The theme of interacting sources of motivation is discussed in more detail below in Section III.C and is depicted in **Exhibit 4** as arrows flowing between the categories of rewards. These arrows indicate that efforts by an employer to promote one type of reward can impact the extent to which employees receive other types of rewards. For example, an incentive scheme that offers money as an extrinsic reward for high performance can undermine the power of rewards from the intrinsic side of the spectrum.²⁴ Many psychological processes can serve as the mechanism underlying this phenomenon, but one simple explanation is that financial incentives can increase an employee's focus on money and shift their attention away from introjected, identified, integrated, and purely intrinsic rewards.²⁵

Exhibit 4 Recognizing Interactions Among Types of Rewards



Source: Case authors, building on Brian J. Hall, "Incentive Systems," Harvard Business School Note 916-029 (Boston: Harvard Business School Publishing, 2015), p. 7.

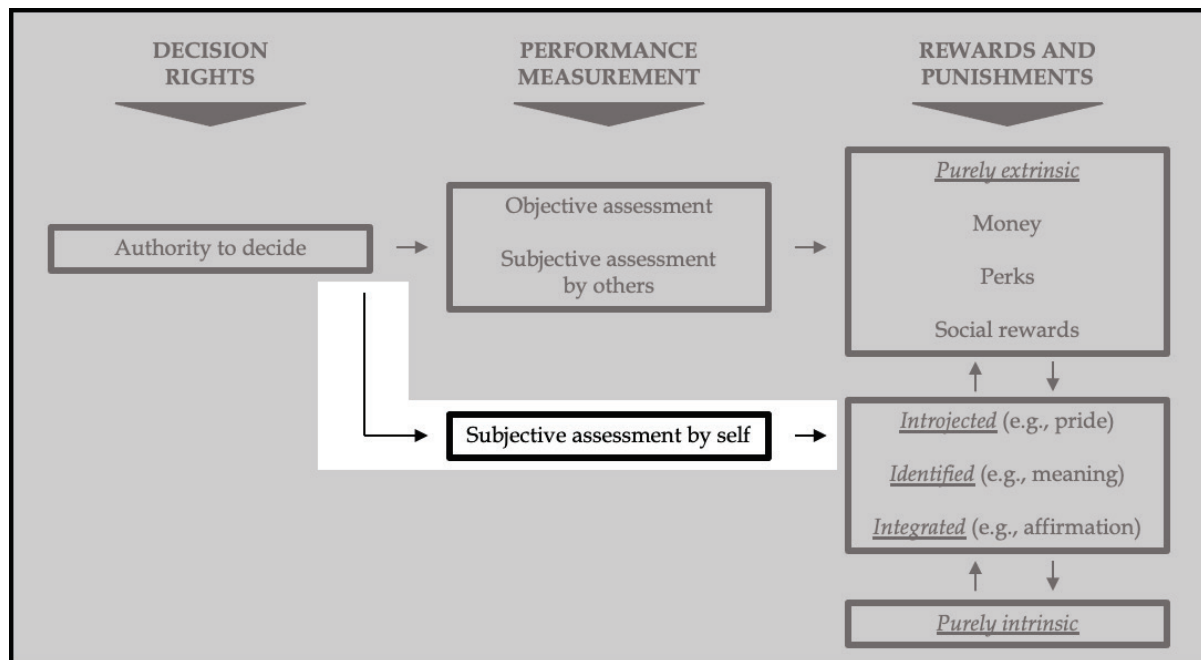
²³ Julia D. Hur, Alice Lee-Yoon, and Ashley Whillans, "Are They Useful? The Effects of Performance Incentives on the Prioritization of Work Versus Personal Ties," *Organizational Behavior and Human Decision Processes* 165 (2021): 103–114.

²⁴ Edward L. Deci, "Effects of Externally Mediated Rewards on Intrinsic Motivation," *Journal of Personality and Social Psychology* 18 (1971): 105–115.

²⁵ Kathleen D. Vohs, "Money Priming Can Change People's Thoughts, Feelings, Motivations, and Behaviors: An Update on 10 Years of Experiments," *Journal of Experimental Psychology: General* 144 (2015): e86–e93.

In an organizational context, the different types of rewards across the extrinsic-intrinsic spectrum are associated with different performance measurement processes. **Exhibit 5** depicts these links as arrows flowing from the second column to the third column. The extent of purely extrinsic rewards delivered to an employee is contingent on the employee's performance as measured by objective assessments or as measured by other individuals' subjective assessments.²⁶ For example, the size of an employee's monetary bonus might depend on whether the employee met an objective benchmark (e.g., a quarterly sales quota) or on whether a manager rated the employee's recent performance as "excellent." For another example, an employee might receive a non-material extrinsic reward, such as a social reward in the form of a compliment, if a manager thinks the employee gave an effective presentation to a customer. **Exhibit 5** emphasizes that in contrast to the case of purely extrinsic rewards, an employee's receipt of introjected, identified, and integrated rewards often hinges on the employee's own subjective assessment of their performance. An employee whose behaviors are driven by these rewards experiences the behaviors as internally satisfying, so it is internal assessments of the behaviors that help to determine the extent to which the behaviors deliver introjected, identified, and integrated rewards. The employee is the judge of whether their behaviors are deserving of pride or shame, consistent with their personal values, and consonant with their self-concept, although the employee's internal judgments are sometimes influenced by external factors, such as the employee's cultural background or the organization's standards for behavior.

Exhibit 5 Recognizing the Role of Subjective Self-Assessments in Determining the Size of Rewards

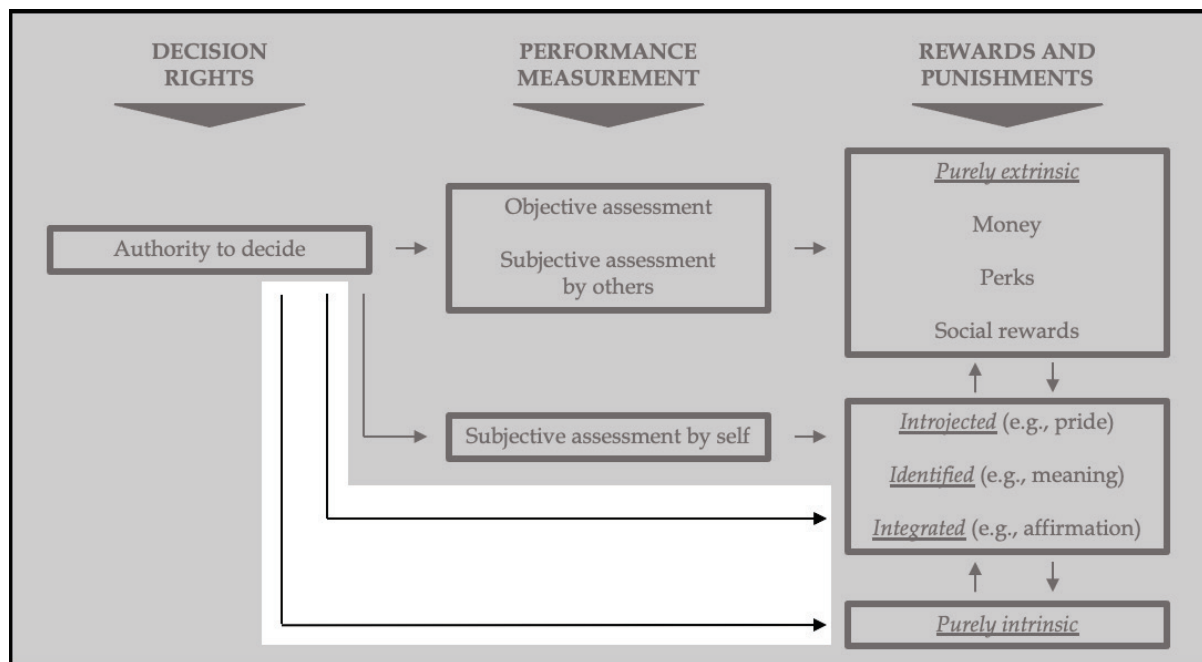


Source: Case authors, building on Brian J. Hall, "Incentive Systems," Harvard Business School Note 916-029 (Boston: Harvard Business School Publishing, 2015), p. 7.

²⁶ See Section II for a discussion of the tradeoffs involved in selecting among these types of performance measurement processes.

An employee can also derive introjected, identified, and integrated rewards directly from the nature of their job because they interpret the decision rights associated with the job—the responsibilities and tasks assigned to the job—as worthy of pride, personally meaningful, or self-affirming. Similarly, purely intrinsic rewards are inextricably embedded in the act of engaging in a task, so organizations also deliver purely intrinsic rewards through the selection of the decision rights attached to a job.²⁷ **Exhibit 6** highlights these links between job tasks and rewards.

Exhibit 6 Recognizing the Direct Link Between Job Tasks and Rewards



Source: Case authors, building on Brian J. Hall, “Incentive Systems,” Harvard Business School Note 916-029 (Boston: Harvard Business School Publishing, 2015), p. 7.

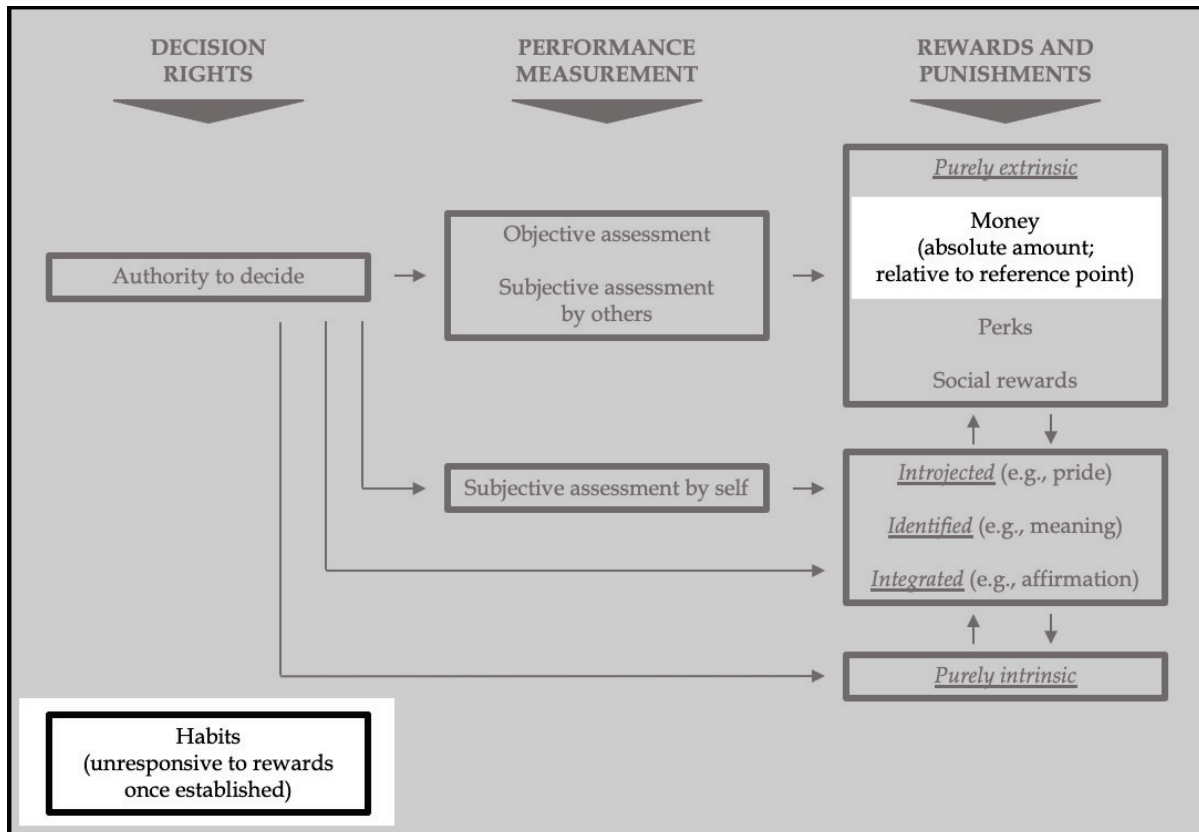
To complete the conceptual map, **Exhibit 7** emphasizes two additional features of the behavioral science perspective on motivation. First, the effects of extrinsic rewards are more nuanced than suggested by the CCMO lens. Employees care about the absolute amount of money they receive as a reward, but as explained in more detail in Section III.F, they also care about the amount of money they receive relative to reference points, including the amount of money they currently have and the amount of money received by similar coworkers.

Second, while the rewards underlying conscious motivation are a central component of the design of incentive systems, it is also important to recognize that some behavior is driven not by conscious motivation but instead by the force of habit. A habit is a behavior that is automatically performed in response to a contextual cue, as in the case of a retail salesperson who unthinkingly smiles (the habitual behavior) when they see a customer walk through the front door of the store (the cue). Habits fall in

²⁷ J. Richard Hackman and Greg R. Oldham, “Motivation Through the Design of Work: Test of a Theory,” *Organizational Behavior and Human Decision Processes* 16 (1976): 250–279.

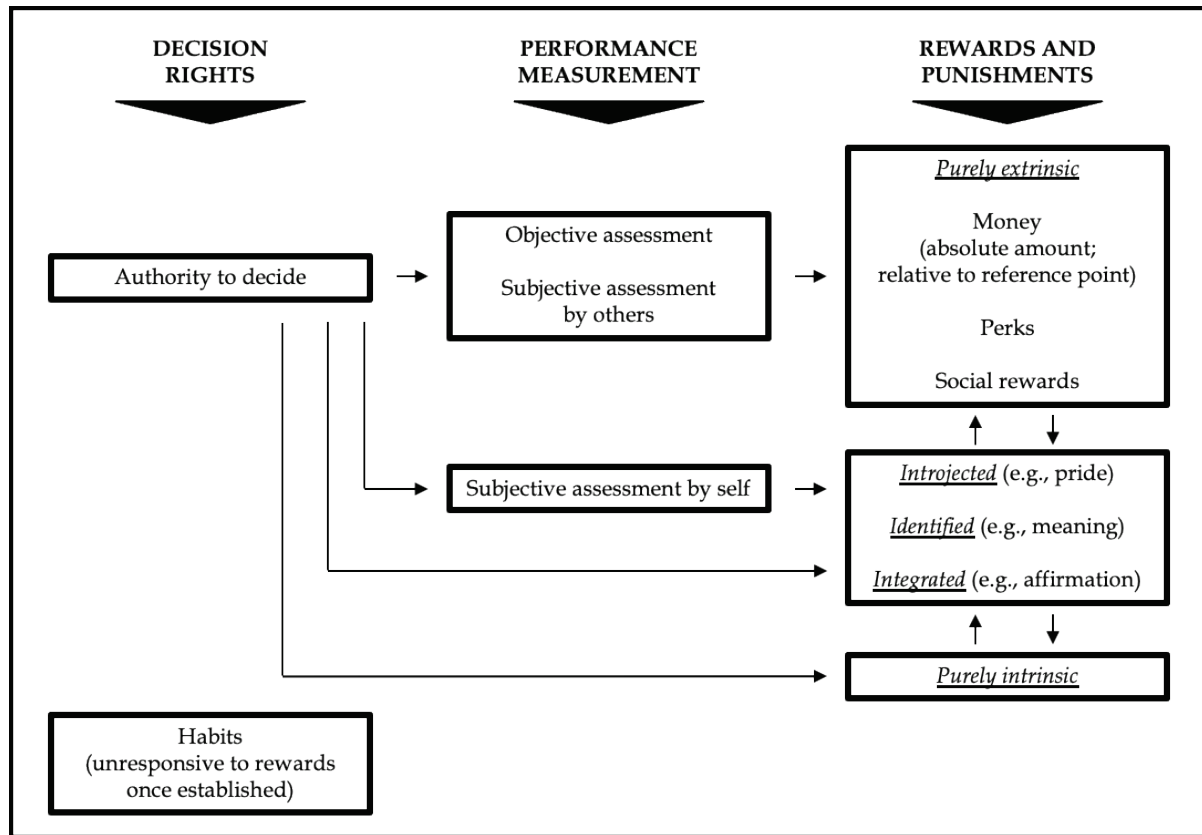
the first column of **Exhibit 7** because they are instances of employees exercising their decision rights. However, habits are distinct from the exercise of decision rights in anticipation of a reward because the impulse to enact a habitual behavior follows directly from the cue and is largely unresponsive to rewards once the habit is established. Habits are discussed in more detail in Section III.G.

Exhibit 7 Incorporating the Nuances of Monetary Rewards and Habits



Source: Case authors, building on Brian J. Hall, "Incentive Systems," Harvard Business School Note 916-029 (Boston: Harvard Business School Publishing, 2015), p. 7.

Having incorporated these final two elements, we can now show the complete module framework in **Exhibit 8** and list seven insights that emerge from this framework. The seven insights are guiding principles for managers who are designing incentive systems, broadly defined, to influence employee behavior. The insights are briefly stated in the list below and will be explained in greater detail in subsequent subsections of this document. The list below also names the cases that are included in the module to teach each insight.

Exhibit 8 The Complete Conceptual Framework for the Module

Source: Case authors, building on Brian J. Hall, "Incentive Systems," Harvard Business School Note 916-029 (Boston: Harvard Business School Publishing, 2015), p. 7.

- Insight #1: Job design—the assignment of decision rights to a role within an organization—can shape the introjected, identified, integrated, and purely intrinsic rewards that employees experience.²⁸ Managers should therefore allocate decision rights in a way that balances their motivational effects with other considerations, such as matching tasks to employees' skills.

Exercise: "Stoy Foods" (Harvard Business School exercise 918-044, 918-045, 918-046, and 918-047).

Cases: "France Télécom (A): A Challenging Restructuring" (Harvard Business School case 721-420), "France Télécom (B): A Wave of Staff Suicides" (Harvard Business School case 721-421), and "France Télécom (C): An Unprecedented Trial" (Harvard Business School case 721-422).

- Insight #2: The behavioral science perspective emphasizes that multiple types of rewards drive behavior and therefore highlights the concept of reward efficiency. At the margin, a manager

²⁸ J. Richard Hackman and Greg R. Oldham, "Motivation Through the Design of Work: Test of a Theory," *Organizational Behavior and Human Decision Processes* 16 (1976): 250–279.

could spend an additional dollar on monetary rewards or could spend the additional dollar on delivering some other type of reward, for example by helping employees more clearly see the deeper meaning of their work and thereby stoking identified rewards. Depending on the circumstances, one strategy or the other might have greater efficiency in the sense of delivering rewards that are more highly valued by the employee per dollar spent.

Cases: “The What Works Centre: Using Behavioral Science to Improve Social Worker Well-being (A) and (B)” (Harvard Business School cases 921-020 and 921-022).

- Insight #3: The different types of rewards that underlie motivation interact with each other. An incentive system that is designed to deliver one type of reward (e.g., offering monetary rewards in a pay-for-performance system) can backfire if it also inadvertently threatens another type of reward (e.g., the ability of an employee to affirm their self-concept by creating value for customers).

Cases: “The What Works Centre: Using Behavioral Science to Improve Social Worker Well-being (A) and (B)” (Harvard Business School cases 921-020 and 921-022).

- Insight #4: If an employee believes in the value-creating mission of the organization that employs them, they experience greater introjected, identified, and integrated rewards when they perform well in their job. In this case, the employee’s “internal” incentive system features both high controllability and high alignment with the organization’s mission.

Case: “GiveDirectly” (Harvard Business School case 918-036).

- Insight #5: Organizational culture and national culture shape the social, introjected, identified, and integrated rewards that employees receive for their contributions to value creation. Managers must recognize that culture and an organization’s pay-for-performance system are both part of the organization’s overall incentive system.

Cases: “Innovation at Moog Inc.” (Harvard Business School case 922-040) and “Social Salary Setting at Spiber” (Harvard Business School case 920-050).

- Insight #6: When money is used as an extrinsic reward to motivate employees, it is not only the absolute amount of money on offer that matters. Employees evaluate monetary outcomes relative to reference points. If employees face the possibility of experiencing a loss relative to a reference point and believe that they could avoid the loss by exerting additional effort, they are highly motivated to exert that additional effort. However, employees are demotivated if they believe that they are experiencing a loss relative to a reference point because of unfair treatment, for example because they are paid less than their similarly performing coworkers.

Cases: “Maritz Automotive” (Harvard Business School case 920-052) and “Negotiating for Equal Pay: The U.S. Women’s National Soccer Team (A) and (B)” (Harvard Business School cases 920-029 and 920-030).

- Insight #7: Habits are important drivers of behavior that do not operate through conscious motivation once they are established. However, managers can offer rewards that encourage repeated engagement in a behavior, and this repetition can lead to habit formation.

Case: “Magrabi: Fulfilling the Vision for the Future” (Harvard Business School case 920-009).

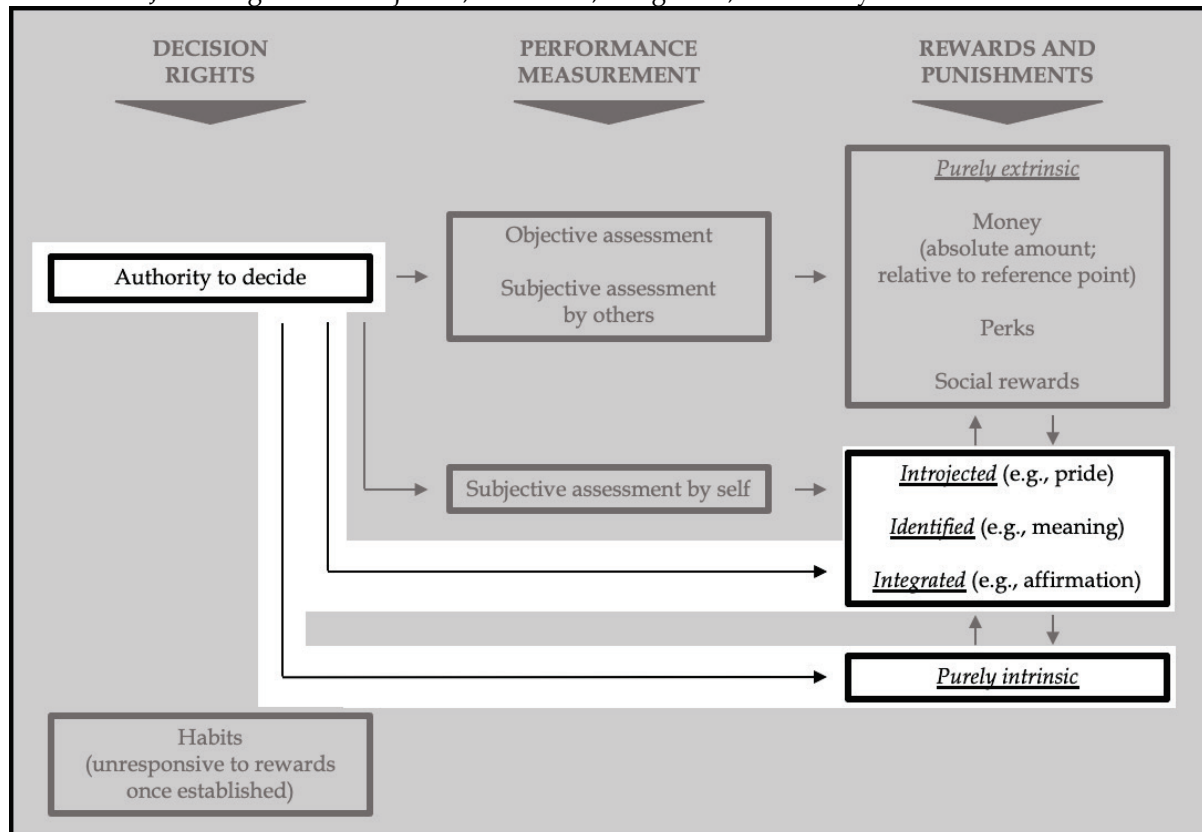
The seven subsections that follow explain the seven insights in greater detail, using the associated cases as examples.

III.A. Job Design

Insight #1: Job design – the assignment of decision rights to a role within an organization – can shape the introjected, identified, integrated, and purely intrinsic rewards that employees experience. Managers should therefore allocate decision rights in a way that balances their motivational effects with other considerations, such as matching tasks to employees' skills.

The decision rights associated with a particular role within an organization can directly generate introjected, identified, integrated, and purely intrinsic rewards for the employee who holds the role.²⁹ These links are highlighted in **Exhibit 9**. For example, a job might require an employee to devote time to mentoring employees who are new to the organization. This aspect of the job might deliver introjected rewards if the employee takes pride in passing on knowledge to others, identified rewards if the employee believes that it is meaningful to help others in their careers, integrated rewards if the employee develops a self-concept as a supporter of younger professionals, and purely intrinsic rewards if the employee simply enjoys discussing career strategies with junior employees.

Exhibit 9 Job Design and Introjected, Identified, Integrated, and Purely Intrinsic Rewards



Source: Case authors, building on Brian J. Hall, "Incentive Systems," Harvard Business School Note 916-029 (Boston: Harvard Business School Publishing, 2015), p. 7.

²⁹ Ibid.

The decision rights associated with a job are not fixed, and a manager may find it advantageous to change some aspects of a role to deliver non-monetary rewards to employees. For example, if employees in a product design role view themselves as particularly gifted at relating to and empathizing with other people, a manager might increase the amount of time that the employees spend interviewing customers face-to-face to gather feedback on product prototypes. Without changing the employees' monetary rewards, this shift is valuable to employees because spending more time interviewing customers increases the introjected, identified, integrated, and purely intrinsic rewards that employees derive from their jobs.³⁰ More generally, employees experience these types of rewards when a manager gives them autonomy to figure out exactly how they will accomplish the tasks assigned to them. Taking this idea further, the manager might give the employees greater discretion to choose some of the responsibilities associated with their jobs, allowing the employees to tailor their roles to deliver greater introjected, identified, integrated, and purely intrinsic rewards.³¹ That said, the benefits of adjusting the decision rights associated with a role must be weighed against the costs. If little incremental information is produced by spending additional time interviewing customers, it may not be worthwhile to increase the amount of time that employees devote to this activity, even if they find it personally rewarding.

The exercise "Stoy Foods" (Harvard Business School exercise 918-044, 918-045, 918-046, and 918-047) provides an opportunity for students to practice shaping decision rights in ways that deliver introjected, identified, integrated, and purely intrinsic rewards. The exercise centers on a family that owns and operates a large food business. A multinational food company has offered to purchase the family business, and the family must decide whether to move forward with the sale.

Students participate in the exercise by assuming one of four roles. Petja is the patriarch of the family, the CEO of the company, and the formal owner of the business. Milan is Petja's oldest child and the COO of the company. Katrina, the middle child, is responsible for managing the most profitable segment of the family business. Danijela is the youngest child in the family and is an advisor to the business but not directly involved in managing it. Petja and Milan are inclined to reject the offer to purchase the company, whereas Katrina and Danijela are inclined to accept it. When conducting the exercise, each group of four students meets "as a family" to discuss how to respond to the offer.

Students perform well in this exercise when they learn about the family members' underlying sources of introjected, identified, integrated, and purely intrinsic rewards and then find creative ways to deliver those rewards. For example, Petja is inclined to keep the business in the family as a way of preserving his legacy, but Katrina or Danijela might be able to convince him that selling the family business and using some of the proceeds to fund a philanthropic organization would also be an excellent way to extend his legacy and serve the community. For another example, Milan is inclined to keep the business in the family so that he can continue to lead an organization, but Katrina or Danijela might be able to persuade him that selling the business and then becoming the leader of the family office responsible for managing the family's wealth would also provide him with the pride and self-affirmation of managing an organization. These creative approaches to designing roles for the family members illustrate how decision rights can directly generate rewards that employees value.

Whereas the "Stoy Foods" exercise demonstrates that thoughtful job design can provide employees with valuable introjected, identified, integrated, and purely intrinsic rewards, the series of cases

³⁰ These arguments are closely related to the ideas in Timothy Butler and James Waldroop, "Job Sculpting: The Art of Retaining Your Best People," *Harvard Business Review* 77, no. 5 (September-October 1999).

³¹ Amy Wrzesniewski and Jane E. Dutton, "Crafting a Job: Revisioning Employees as Active Crafters of Their Work," *Academy of Management Review* 26 (2001): 179-201.

“France Télécom (A): A Challenging Restructuring” (Harvard Business School case 721-420), “France Télécom (B): A Wave of Staff Suicides” (Harvard Business School case 721-421), and “France Télécom (C): An Unprecedented Trial” (Harvard Business School case 721-422) illustrates that poor job design can produce the opposite result, sometimes with tragic consequences.

France Télécom CEO Didier Lombard undertook a restructuring plan that involved cutting 22,000 jobs, hiring 6,000 new workers with up-to-date technical skills, and reassigning 10,000 employees to priority areas. Because of strict labor laws, strong labor unions, and the guarantee of jobs for life for the many public sector employees at France Télécom, Lombard could not fire enough employees to reach his targets. Instead, he had to encourage employees to leave of their own volition.

Initially, Lombard relied on extrinsic rewards, for example by offering employees money to start their own company or to take over an existing one. However, these efforts were insufficient because many employees remained at France Télécom for the intrinsically oriented rewards that accompanied their jobs. They strongly identified with the purpose of the company and derived personal meaning from serving their country. Many employees also exhibited integrated motivation—their personal identities were tied to their employment at France Télécom after having worked at the company for many years.

Lombard turned to more aggressive tactics that targeted employees’ intrinsically oriented rewards. Managers were required to participate in programs training them to perform the unpleasant job task of encouraging other employees to quit. Many experienced engineers were demoted and transferred to low-skill commercial roles. Other employees were given little or no meaningful work. These tactics were effective at increasing turnover because they eliminated job elements that provided introjected, identified, integrated, and purely intrinsic rewards.

Employees who remained in spite of Lombard’s aggressive tactics began to feel as if their lives were out of their control, resulting in a sense of helplessness.³² Helplessness can result in psychological distress and ill-being,³³ and tragically, some employees experienced extreme distress: 19 employees committed suicide, and 12 attempted to commit suicide. In 2012, the French courts convicted Lombard, other executives, and the company itself for institutional harassment—a first for a top-40 public company in France—resulting in fines and jail time. The case is a stark illustration of the power of removing sources of introjected, identified, integrated, and intrinsic rewards linked to job design.

III.B. Reward Efficiency

Insight #2: The behavioral science perspective emphasizes that multiple types of rewards drive behavior and therefore highlights the concept of reward efficiency. At the margin, a manager could spend an additional dollar on monetary rewards or could spend the additional dollar on delivering some other type of reward, for example by helping employees more clearly see the deeper meaning of their work and thereby stoking identified rewards. Depending on the circumstances, one strategy or the other might have greater efficiency in the sense of delivering rewards that are more highly valued by the employee per dollar spent.

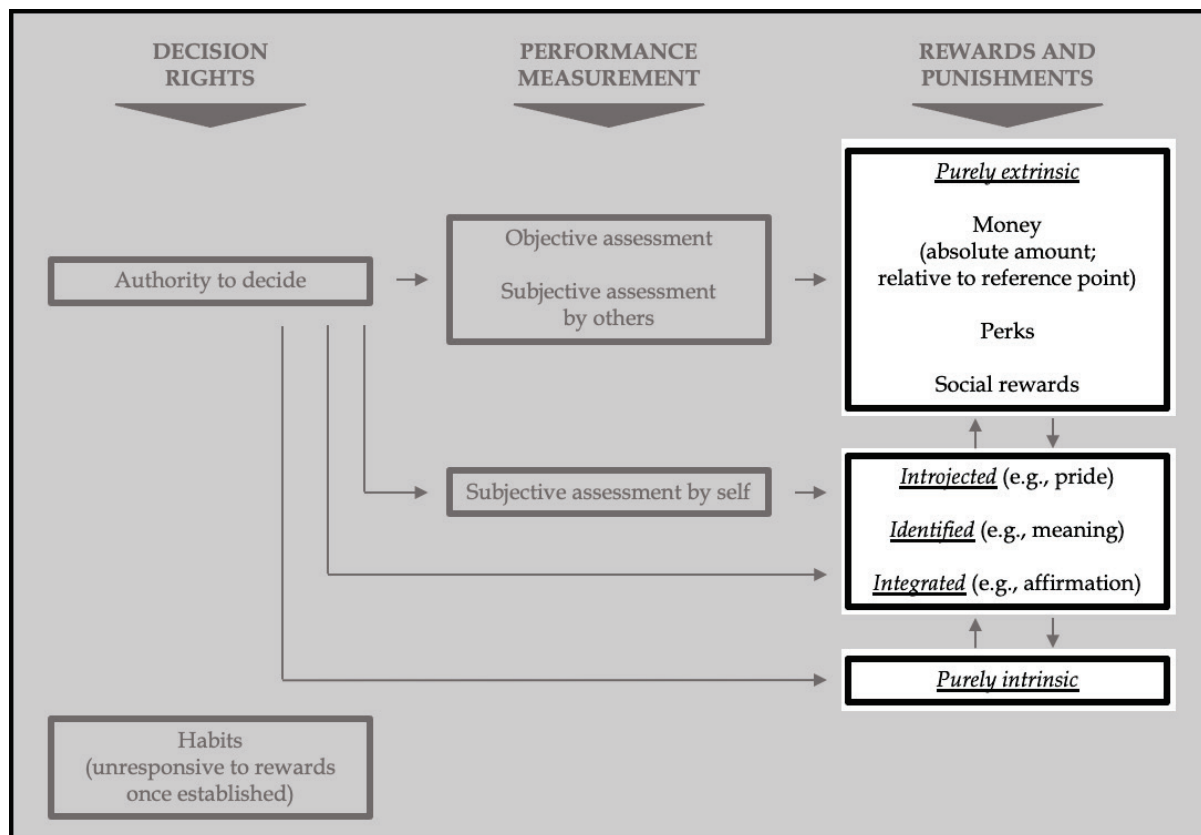
As highlighted in **Exhibit 10**, the behavioral science perspective emphasizes that many types of rewards drive employee behavior. When multiple types of rewards are available, it is important for a manager to ask which types of rewards should be provided to employees. When selecting the mix of

³² Martin E. P. Seligman, “Learned Helplessness,” *Annual Review of Medicine* 23 (1972): 407–412.

³³ Martin E. P. Seligman, *Flourish: A Visionary New Understanding of Happiness and Well-being* (New York, NY: Simon and Schuster, 2011).

rewards, the manager should consider the employee behaviors that each reward encourages, the types of employees who are attracted to join the organization because of each reward, and the reward efficiency of each reward. Reward efficiency refers to the general concept that at the margin, a given reward provides a certain amount of value to employees per dollar that the organization spends on the reward. Starting at a given level of monetary compensation, an organization can sometimes provide employees with non-monetary rewards such that the value placed by the employees on the rewards, as measured by the amount of monetary compensation they would be willing to sacrifice for those rewards, exceeds the amount of money that the organization must pay to provide those rewards. By the logic of gains from trade, providing such rewards to employees creates value.³⁴

Exhibit 10 The Multiple Types of Motivating Rewards Emphasized by Behavioral Science



Source: Case authors, building on Brian J. Hall, "Incentive Systems," Harvard Business School Note 916-029 (Boston: Harvard Business School Publishing, 2015), p. 7.

Reward efficiency is a critical concept for understanding the cases "The What Works Centre: Using Behavioral Science to Improve Social Worker Well-being (A) and (B)" (Harvard Business School cases

³⁴ The CCMO perspective contemplates multiple types of rewards (e.g., money and perks), and the concept of reward efficiency is relevant within that narrower set of rewards. Thus, the concept of reward efficiency is not unique to the behavioral science perspective. However, the concept is particularly valuable within the framework of this module note because it guides managers to search for cost-effective techniques to deliver introjected, identified, integrated, and purely intrinsic rewards to employees.

921-020 and 921-022). Michael Sanders was the Chief Executive Officer of the What Works Centre for Children's Social Care, which was a government agency in the United Kingdom focused on designing and implementing research to improve the lives of social workers and the children and families whom they served. Sanders and his team believed that social workers felt underappreciated by their organizations and overwhelmed by their workloads. Consequently, social workers were experiencing high levels of stress and burnout. The What Works Centre was considering several strategies for improving social worker well-being.

One strategy under consideration was workplace recognition in the form of managers thanking social workers for their efforts. Applying the behavioral science perspective on employee motivation to social workers, it is clear that introjected, identified, and integrated rewards must play some role in social workers' job performance. To be sure, social workers are driven in part by money and other extrinsic rewards. However, social workers are paid much less than workers in other, related fields that require similar educational attainment, suggesting that monetary rewards are not a primary driver of social workers' efforts. In addition, social workers face heart-wrenching cases of children in distress and often have limited tools for helping, so it seems unlikely that purely intrinsic rewards are the primary driver of social workers' efforts in their jobs. Instead, social workers likely benefit from introjected rewards—they feel pride in helping families. They also likely reap identified rewards. Even when a case is stressful, they want to continue excelling at their work because their jobs are important to society. Some social workers likely also experience integrated rewards. For these workers, the higher purpose of their work has become part of their identity, making job challenges feel less unpleasant.

In line with this analysis, social workers responded positively to notes of appreciation from their managers. This outcome is consistent with research showing that expressions of gratitude toward employees can increase their productivity³⁵ and demonstrates that it is possible to enhance introjected, identified, and integrated rewards by highlighting the pride, meaning, and identity affirmation that accompany a job. Critically, the thank-you notes were provided at extremely low cost to the employers—they involved minor investments of financial resources and managerial time. Thus, the reward efficiency for the workplace recognition program was high.

III.C. Reward Interactions and Unintended Consequences

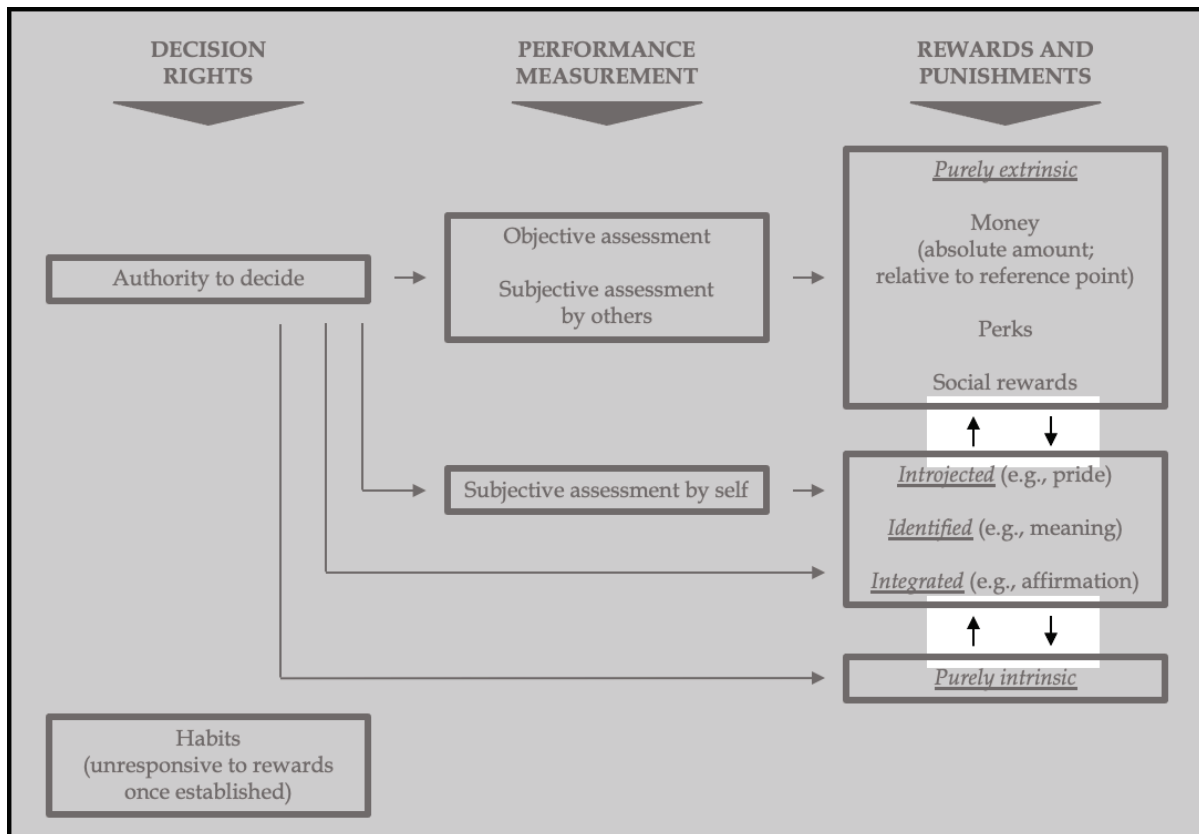
Insight #3: The different types of rewards that underlie motivation interact with each other. An incentive system that is designed to deliver one type of reward (e.g., offering monetary rewards in a pay-for-performance system) can backfire if it also inadvertently threatens another type of reward (e.g., the ability of an employee to affirm their self-concept by creating value for customers).

Exhibit 11 emphasizes that the rewards that drive motivation interact with each other. For example, offering individuals monetary rewards for a behavior can undermine the non-monetary rewards that they receive for the behavior. Consider an employee who receives introjected, identified, integrated, or purely intrinsic rewards for helping colleagues with their work. If the employer introduces financial incentives for helping behaviors, the employee might begin to infer that their helping behaviors are driven by externally imposed factors, not by internal forces. This inference weakens the introjected, identified, integrated, or purely intrinsic rewards that the employee derives from helping others. If the employee initially finds helping others to be interesting, for instance, the introduction of financial

³⁵ Adam M. Grant and Francesca Gino, "A Little Thanks Goes a Long Way: Explaining Why Gratitude Expressions Motivate Prosocial Behavior," *Journal of Personality and Social Psychology* 98 (2010): 946–955.

incentives for helping others can decrease the employee's level of interest in the task.³⁶ In addition, the introduction of financial incentives can increase the employee's focus on money and thereby weaken introjected, identified, integrated, or purely intrinsic rewards simply because the employee devotes less attention to those rewards.³⁷ For example, financial incentives lead individuals to focus more on the instrumental benefits of interpersonal relationships and less on their intrinsic benefits.³⁸

Exhibit 11 Interactions Among Types of Motivating Rewards



Source: Case authors, building on Brian J. Hall, "Incentive Systems," Harvard Business School Note 916-029 (Boston: Harvard Business School Publishing, 2015), p. 7.

Relatedly, consider an employee who receives extrinsic social rewards, such as the esteem of colleagues, for helping other employees with their work. These rewards are based on the employee's

³⁶ Edward L. Deci, Richard Koestner, and Richard M. Ryan, "A Meta-analytic Review of Experiments Examining the Effects of Extrinsic Rewards on Intrinsic Motivation," *Psychological Bulletin* 125 (1999): 627-668. Roland Benabou and Jean Tirole, "Intrinsic and Extrinsic Motivation," *Review of Economic Studies* 70 (2003): 489-520.

³⁷ Kathleen D. Vohs, "Money Priming Can Change People's Thoughts, Feelings, Motivations, and Behaviors: An Update on 10 Years of Experiments," *Journal of Experimental Psychology: General* 144 (2015): e86-e93.

³⁸ Julia D. Hur, Alice Lee-Yoon, Ashley V. Whillans, "Are They Useful? The Effects of Performance Incentives on the Prioritization of Work Versus Personal Ties," *Organizational Behavior and Human Decision Processes* 165 (2021): 103-114.

social image, which in part captures the perception by others in the organization that the employee is intrinsically motivated (by introjected, identified, integrated, or purely intrinsic rewards) to be helpful. If the employer introduces financial incentives for helping coworkers, it becomes more ambiguous whether helping behavior is evidence of intrinsic motivation to help—after all, the helping behavior could be driven by intrinsic motivation or could be driven by the promise of monetary rewards. Thus, the presence of monetary rewards can decrease the strength of social rewards.³⁹

Recall from Section III.B that in the cases “The What Works Centre: Using Behavioral Science to Improve Social Worker Well-being (A) and (B)” (Harvard Business School cases 921-020 and 921-022), the What Works Centre was designing and testing low-cost techniques for improving the morale of social workers. One technique backfired badly because it failed to account for the interactions among different types of rewards. When the What Works Centre introduced free coffee and tea in the workplace, some social workers were outraged. They were upset by the possibility that their challenging work might be perceived, by themselves or by others, as driven by the minor extrinsic reward of free coffee and tea instead of driven by the introjected, identified, and integrated rewards associated with making a positive difference in society through their jobs.

III.D. Controllability and Alignment of Introjected, Identified, and Integrated Rewards

Insight #4: If an employee believes in the value-creating mission of the organization that employs them, they experience greater introjected, identified, and integrated rewards when they perform well in their job. In this case, the employee’s “internal” incentive system features both high controllability and high alignment with the organization’s mission.

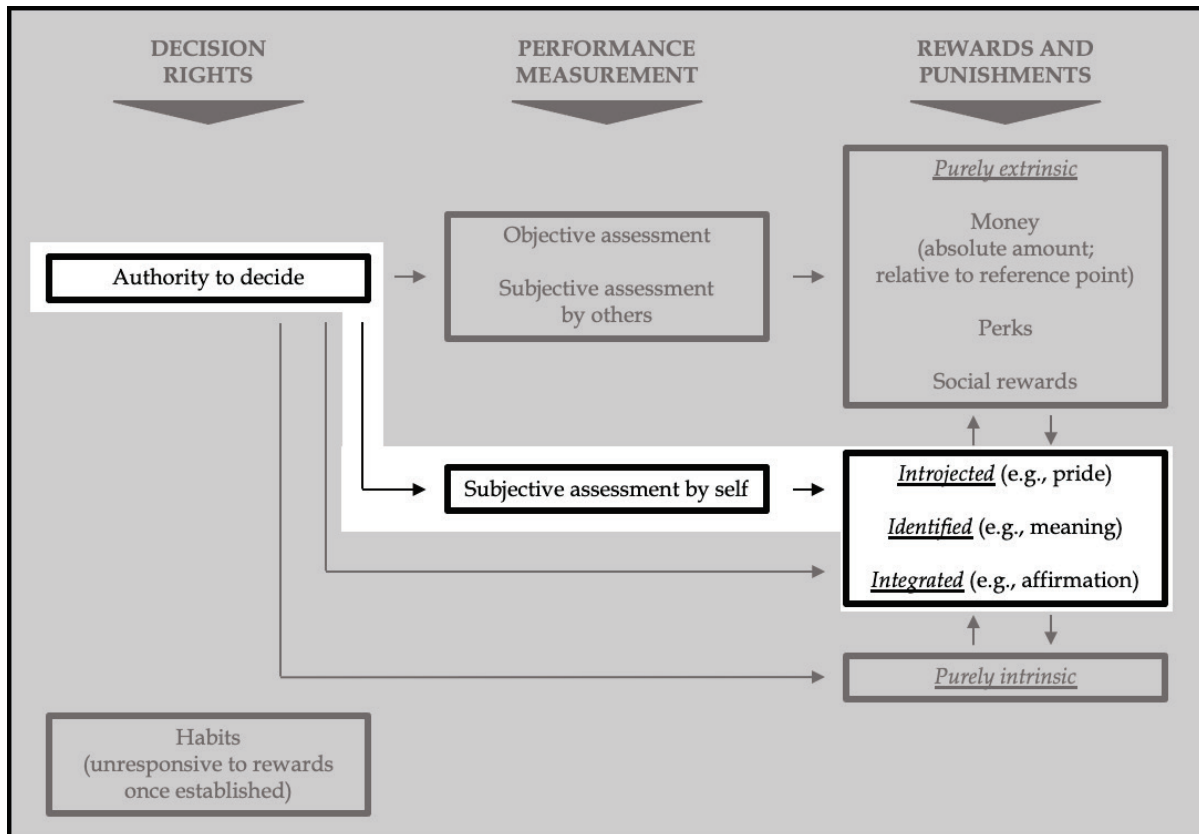
Consider an employee who views the value-creating purpose of the organization that employs them as deserving of pride, connected to a greater sense of meaning, and relevant to the employee’s self-concept. This employee receives introjected, identified, and integrated rewards from their work. Furthermore, as depicted in **Exhibit 12**, the introjected, identified, and integrated rewards that the employee receives from their work are partly determined by the employee’s evaluation of their own performance, so the employee receives greater introjected, identified, and integrated rewards when they evaluate their efforts and results in their job as having made greater contributions to the organization’s purpose. Thus, the employee has an “internal” incentive system in which the “performance measure” is the employee’s assessment of their own contributions to the organization’s purpose. This observation has important implications for managers of incentive systems.

The “internal” incentive system described above is characterized by high controllability. After all, a critical component of the “performance measure” is the employee’s direct observation of their own efforts to contribute to the organization’s purpose, and the employee controls the level of effort that they exert. In addition, the “internal” incentive system features a high degree of alignment because the “performance measure” at least partly reflects the organization’s definition of value creation. Of course, the “internal” incentive system is not perfect in all cases. If the “performance measure” captures not only the employee’s effort to create value but also the amount of value that the employee actually

³⁹ Roland Benabou and Jean Tirole, “Incentives and Prosocial Behavior,” *American Economic Review* 96 (2006): 1652–1678. Dan Ariely, Anat Bracha, and Stephan Meier, “Doing Good or Doing Well? Image Motivation and Monetary Incentives in Behaving Prosocially,” *American Economic Review* 99 (2009): 544–555. Fern Lin-Healy and Deborah A. Small, “Nice Guys Finish Last and Guys in Last Are Nice: The Clash Between Doing Well and Doing Good,” *Social Psychological and Personality Science* 4 (2013): 692–698. George E. Newman and Daylian M. Cain, “Tainted Altruism: When Doing Some Good Is Evaluated as Worse Than Doing No Good at All,” *Psychological Science* 25 (2014): 648–655. Erika L. Kirgios, Edward H. Chang, Emma E. Levine, Katherine L. Milkman, and Judd B. Kessler, “Forgoing Earned Incentives to Signal Pure Motives,” *Proceedings of the National Academy of Sciences* 117 (2020): 16891–16897.

creates, controllability is lower because external forces such as a lack of cooperation from coworkers can impede an employee's contributions to value creation. Furthermore, when assessing their own contributions to the organization's purpose, the employee might use a definition of value creation that does not match the organization's definition, creating low alignment.

Exhibit 12 The "Internal" Incentive System



Source: Case authors, building on Brian J. Hall, "Incentive Systems," Harvard Business School Note 916-029 (Boston: Harvard Business School Publishing, 2015), p. 7.

The operation of the "internal" incentive system interacts with the monetary rewards offered by an organization because of the sorting of employees into and out of the organization.⁴⁰ Many organizations with a compelling social mission, including many non-profit organizations, offer lower employee pay than other organizations.⁴¹ One factor that contributes to lower pay is the fact that employees reap introjected, identified, and integrated rewards from serving these organizations' pro-social objectives, making them willing to accept lower monetary rewards for working at these organizations. There is heterogeneity in the extent to which employees value the introjected, identified, and integrated rewards, and the employees who value these rewards most highly are likely to be the

⁴⁰ Section III.C discusses other channels through which the "internal" incentive system interacts with the monetary rewards offered by an organization.

⁴¹ According to the Harvard Business School Office of Career and Professional Development, the median starting salary for students in the MBA Class of 2020 was \$165,000 in consulting, \$150,000 in finance, and \$100,000 in non-profits.

ones who decide to work at these organizations. Luckily for these organizations, this selection effect implies that the “internal” incentive system is particularly strong for the employees who choose to work for the organizations. In other words, employees who more highly value the rewards that derive from serving an organization’s purpose are not only more likely to join the organization; they also work harder on behalf of the organization because their extra effort returns even more of the introjected, identified, and integrated rewards that they so highly value.

An understanding of employee selection effects is a key component of the analysis of the case “GiveDirectly” (Harvard Business School case 918-036). GiveDirectly was a non-profit organization that collected donations and transferred cash into the hands of households living in poverty in sub-Saharan Africa. It was built on the principle that empirical evidence should guide how the charitable giving sector deploys resources. According to its interpretation of the evidence, many poverty alleviation programs failed to improve people’s lives as much as direct cash transfers did per dollar of spending, so GiveDirectly’s mission was to serve as an efficient conduit for cash transfers.

The leaders of GiveDirectly were contemplating the introduction of monetary bonuses for employees that would be contingent on the number of dollars that GiveDirectly delivered to people living in poverty. These monetary rewards would likely make jobs at GiveDirectly more attractive to a broader range of workers. However, the monetary rewards would also reduce the intensity of employee sorting, as the shift in the mix of rewards offered by GiveDirectly would lessen the extent to which jobs at GiveDirectly were particularly attractive to individuals who highly valued the introjected, identified, and integrated rewards that came from contributing to GiveDirectly’s mission. The reduction in the intensity of sorting would imply that the employees of GiveDirectly would on average have weaker “internal” incentive systems. On the other hand, GiveDirectly emphasized the importance of measuring its impact as an organization, and monetary bonuses contingent on the number of dollars delivered to people living in poverty might resonate with workers who shared a belief in the importance of measuring impact. The analysis of “internal” incentive systems clarifies the tradeoffs associated with the introduction of monetary bonuses.

III.E. The Role of Culture

Insight #5: Organizational culture and national culture shape the social, introjected, identified, and integrated rewards that employees receive for their contributions to value creation. Managers must recognize that culture and an organization’s pay-for-performance system are both part of the organization’s overall incentive system.

The effect of culture on employee behavior is a rich and multi-faceted area of research,⁴² and a complete discussion of the topic is beyond the scope of this module note. This subsection focuses on how culture can influence social, introjected, identified, and integrated rewards.

One widely accepted definition of culture from organizational behavior is as follows: “Culture represents the basic assumptions and beliefs that are shared across members of an organization.”⁴³ Culture provides personal scripts and narratives that tell employees how to act when there are no incentives or formal rules in place to guide their behavior.⁴⁴ This conceptualization of culture suggests

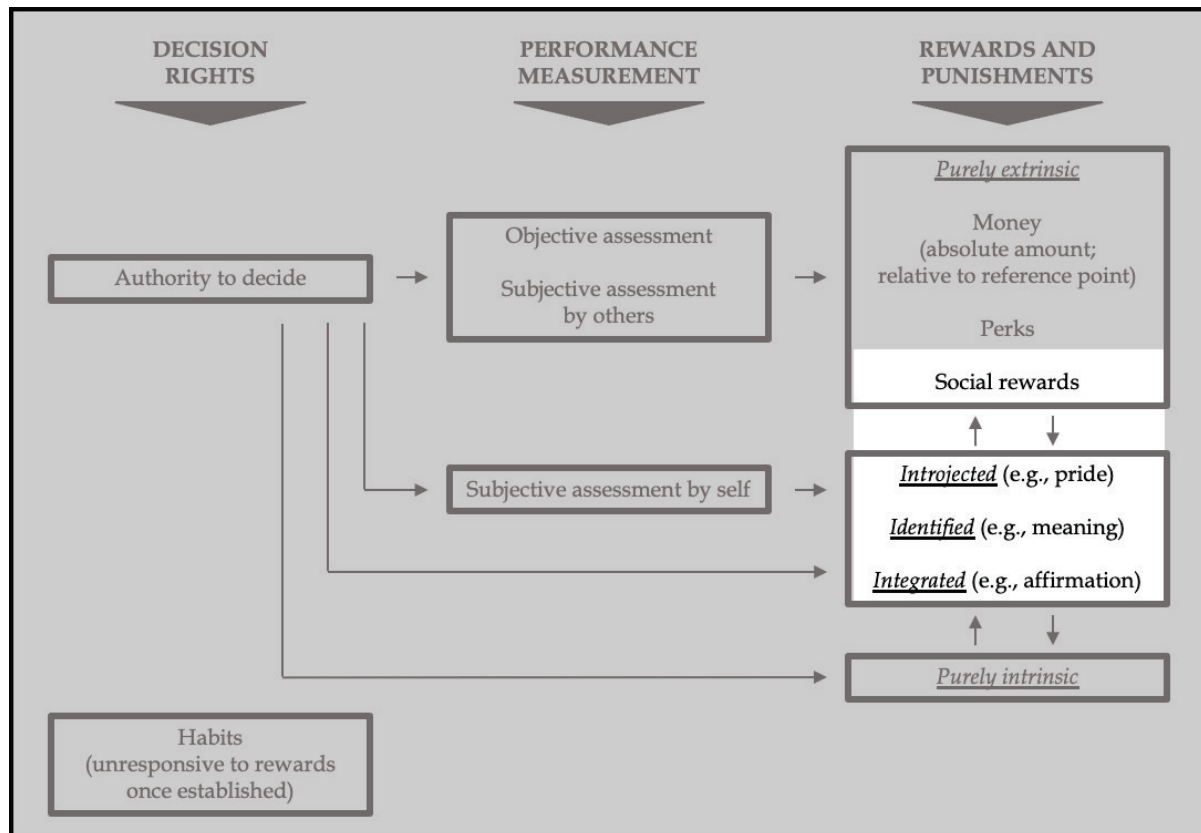
⁴² Edgar H. Schein, “Organizational Psychology Then and Now: Some Observations,” *Annual Review of Organizational Psychology and Organizational Behavior* 2 (2015): 1–19.

⁴³ Ibid.

⁴⁴ Mats Alvesson and Hugh Willmott, “Identity Regulation as Organizational Control: Producing the Appropriate Individual,” *Journal of Management Studies* 39 (2002): 619–644.

that organizational culture and national culture provide benchmarks against which employee behavior is assessed. For example, culture might provide a benchmark for the extent to which an employee is expected to sacrifice their personal interests to better serve the interests of the group. An employee who falls short of this benchmark is assessed unfavorably, and an employee who exceeds this benchmark is assessed favorably. When culture influences other individuals' assessments of an employee's behavior in this way, it helps to shape the extrinsic social rewards that the employee receives. Similarly, when culture influences an employee's assessment of their own behavior, it helps to shape the introjected, identified, and integrated rewards that they receive. This connection may be particularly strong in the case of introjected rewards like pride and shame because they are internalized representations of the public approval and disapproval that accompany acceptable and unacceptable behavior given social expectations.⁴⁵ **Exhibit 13** highlights the types of motivating rewards that are most likely influenced by cultural factors.

Exhibit 13 Types of Rewards That Are Influenced by Cultural Factors



Source: Case authors, building on Brian J. Hall, "Incentive Systems," Harvard Business School Note 916-029 (Boston: Harvard Business School Publishing, 2015), p. 7.

⁴⁵ June Price Tangney, "The Self-conscious Emotions: Shame, Guilt, Embarrassment and Pride," in Tim Dalgleish and Mick J. Power, eds., *Handbook of Cognition and Emotion* (New York, NY: John Wiley & Sons, 1999): 541-568.

The case “Innovation at Moog Inc.” (Harvard Business School case 922-040) provides an example of an organizational culture that exerted a strong influence on employee behavior through social, introjected, identified, and integrated rewards. Moog was an engineering company that built mechanical control systems. Monetary compensation for a Moog employee was composed of a base salary and a bonus that depended entirely on the company’s overall performance. For most employees, their individual performance had a minimal impact on the company’s overall performance, so the pay-for-performance system was not the primary driver of employee behavior. Employee behavior was much more strongly influenced by Moog’s organizational culture, which was built on a set of company values that reinforced a collaborative approach to solving problems. For example, Moog’s values emphasized collective success over individual success, stressed the importance of rewarding hard work and technical skill, and minimized the importance of politics and formal hierarchies. Consistent with these value, self-promoters were rapidly weeded out of the organization, as self-promoting behavior was quickly met with negative feedback from peers, a form of social punishment. Moog’s values also shaped employees’ introjected rewards derived from pride in addressing customers’ problems, their identified rewards rooted in the belief that the values supported the organization’s mission, and their integrated rewards based on their self-concept as solution-oriented team players.

The case “Social Salary Setting at Spiber” (Harvard Business School case 920-050) also highlights the power of culture for shaping employees’ social, introjected, identified, and integrated rewards, and it extends the analysis in two ways. First, it explores how these culturally rooted rewards interact with compensation systems. Second, it examines national culture in addition to organizational culture.

Organizational culture and national culture are related but distinct forms of culture, with different antecedents and consequences.⁴⁶ At the national level, an important dimension that differentiates cultures is whether they are “tight” or “loose.” This distinction is particularly relevant to the analysis of incentive systems because it explains which behaviors produce social rewards and introjected rewards related to pride and shame. It also has implications for identified and integrated rewards. Tight cultures have stronger social norms and greater social pressure to conform, whereas loose cultures have weaker social norms and less social pressure to conform.⁴⁷ For example, standing out is seen as a form of self-expression in the United States, which is a loose culture. In one study, people who grew up in the United States were more likely to switch their choices away from the default option when given the chance to do so, whereas people who were from an East Asian background showed this desire less frequently, providing suggestive evidence that people from looser cultural backgrounds see the ability to express their unique viewpoint as rewarding.⁴⁸

Spiber was a Japanese start-up company that made durable and ecofriendly synthetic materials. Many Spiber employees grew up in Japan, which is a tight culture. In a tight cultural context, employees tend to receive social, introjected, identified, and integrated rewards by adhering to the consensus and engaging in behaviors that promote social cohesion. However, innovation requires employees to balance team-oriented behaviors with a willingness to diverge from the consensus, to try entirely new ideas and approaches, and to challenge others’ thinking.⁴⁹ To promote such a willingness among employees, Spiber instituted a “set your own salary” system. Each employee tentatively

⁴⁶ Yaakov Weber, Oded Shenkar, and Adi Raveh, “National and Corporate Cultural Fit in Mergers/ Acquisitions: An Exploratory Study,” *Management Science* 42 (1996): 1215–1227.

⁴⁷ Michele Gelfand, *Rule Makers, Rule Breakers: How Tight and Loose Cultures Wire Our World* (New York, NY: Scribner, 2018).

⁴⁸ Heejung S. Kim and Aimee Drolet, “Choice and Self-expression: A Cultural Analysis of Variety-seeking,” *Journal of Personality and Social Psychology* 85 (2003): 373–382.

⁴⁹ Gary P. Pisano, “The Hard Truth About Innovative Cultures,” *Harvard Business Review* 97 (January–February 2019): 62–71.

selected a salary, wrote a document that explained the logic behind their choice, and discussed this document with at least one other colleague. Employees could revise their salary requests in response to feedback, and then the company unconditionally accepted employees' chosen salaries.

As part of Spiber's compensation system, employees who worked in an otherwise tight cultural context engaged each other in challenging conversations with reduced fear of social sanctions and reduced feelings of shame—after all, the interactions regarding salaries were mandated by the company. These experiences were intended to make employees more comfortable with asking and answering tough questions in their other interactions with coworkers. At the same time, the compensation system relied on social, introjected, identified, and integrated rewards to ensure that employees made reasonable salary requests. As a result of belonging to a tight culture, most Spiber employees were motivated to fit in with their coworkers when choosing their salaries.

The cases regarding Moog and Spiber highlight that culture can influence the types of behaviors that deliver social, introjected, identified, and integrated rewards to employees. Moog relied almost entirely on these types of rewards—not on monetary rewards—to motivate employees. Spiber designed its system of monetary rewards to balance the non-monetary rewards embedded in its national cultural context. Thus, cultural forces are integral components of organizational incentive systems.

III.F. Reference Points

Insight #6: When money is used as an extrinsic reward to motivate employees, it is not only the absolute amount of money on offer that matters. Employees evaluate monetary outcomes relative to reference points. If employees face the possibility of experiencing a loss relative to a reference point and believe that they could avoid the loss by exerting additional effort, they are highly motivated to exert that additional effort. However, employees are demotivated if they believe that they are experiencing a loss relative to a reference point because of unfair treatment, for example because they are paid less than their similarly performing coworkers.

It is uncontroversial that employees generally prefer more money to less and therefore care about the absolute amount of money that an incentive system provides to them as a reward. However, as highlighted in **Exhibit 14**, research in behavioral science has documented that individuals also evaluate monetary outcomes and other outcomes relative to reference points. Furthermore, losses of a given magnitude relative to a reference point receive greater weight in individuals' decisions than gains of the same magnitude. This pattern in decision making is known as loss aversion.⁵⁰

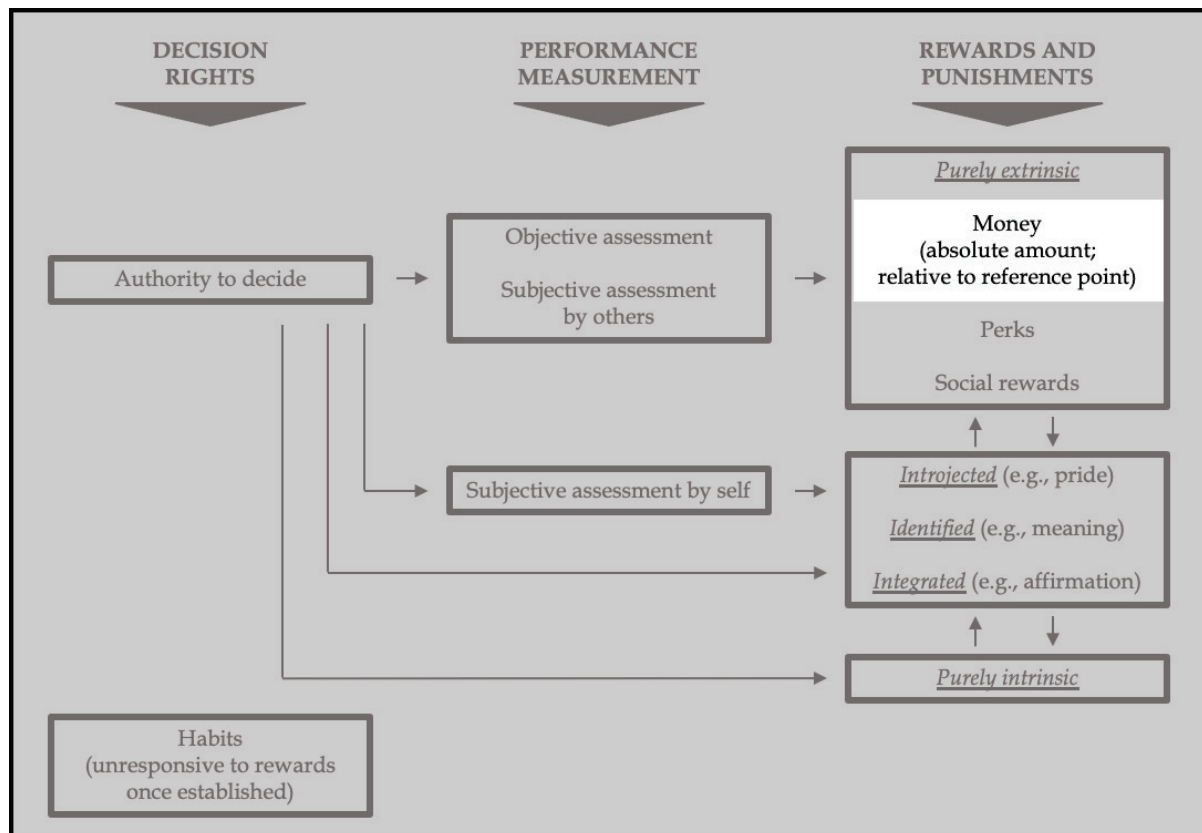
Loss aversion has important implications for the design of incentive systems. If a pay-for-performance system is framed such that employees are in the "loss domain"—that is, faced with the possibility of experiencing a loss relative to a reference point—loss aversion implies that they are highly motivated to erase the loss. If they believe that they can avoid the loss by exerting additional effort, they are highly motivated to exert that additional effort. In contrast, if a pay-for-performance system is framed such that employees are in the "gain domain"—that is, confident that they will not experience a loss but faced with the possibility of experiencing a gain relative to a reference point—they are less motivated because gains are weighted less heavily than losses.

The case "Maritz Automotive" (Harvard Business School case 920-052) illustrates the potential power of loss-framed pay-for-performance systems, but it also underscores the importance of

⁵⁰ Amos Tversky and Daniel Kahneman, "Loss Aversion in Riskless Choice: A Reference-Dependent Model," *Quarterly Journal of Economics* 106 (1991): 1039–1061. See also Daniel Kahneman and Amos Tversky, "Prospect Theory: An Analysis of Decision Under Risk," *Econometrica* 47 (1979): 263–292.

considering how loss aversion interacts with the concepts derived using the CCMO lens for analyzing incentive systems. The protagonist of the case, Charlotte Blank, was the Chief Behavioral Officer at Maritz, a company that designed and implemented incentive systems. CarCo, a major automotive manufacturer, asked Blank to help it conduct an experiment testing whether loss-framed pay for performance could increase sales. CarCo randomly assigned some of its independent car dealerships to receive advances on their monthly bonuses from CarCo, with the payments clawed back at the end of the month if sales targets were not reached.

Exhibit 14 A Nuance of Monetary Rewards



Source: Case authors, building on Brian J. Hall, "Incentive Systems," Harvard Business School Note 916-029 (Boston: Harvard Business School Publishing, 2015), p. 7.

Consistent with loss aversion, dealers with loss-framed incentives were highly motivated to avoid the loss of their bonuses, and they succeeded in increasing their likelihood of just exceeding their monthly quotas for Model Group A, the more popular of two brands of cars carried by the dealers.

However, the dealerships with loss-framed incentives had total revenue that was 5% lower than the revenue of a control group of dealerships that did not have loss-framed incentives. If CarCo had implemented the loss-framing strategy for all dealerships, CarCo would have lost over \$1 billion in sales. What accounted for the lost sales? An alignment problem. While the loss-framed incentives did motivate effort, dealerships directed this effort toward gaming the incentive system as opposed to

increasing overall sales. All lost sales came from Model Group B, the less popular of the two brands of cars carried by the dealers. Dealers received smaller monetary bonuses for reaching sales targets for Model Group B, and dealers with loss-framed incentives protected themselves from losing the larger Model Group A bonuses by shifting sales effort from Model Group B to Model Group A.⁵¹

CarCo's loss-framed incentives suggest that the status quo is a salient reference point that can be altered by the framing of an incentive system. Dealerships with loss-framed incentives received an advance on their bonuses, and they evaluated possible outcomes relative to the status quo of possessing their bonus money. However, individuals have many other possible reference points available to them. For example, the relevant reference point may be what individuals expect to receive.⁵² In the context of incentive systems, another reference point is the pay of other employees who are similarly situated. When employees receive less pay than this reference point, they may feel unfairly treated.

A range of factors influence assessments of whether an employee's pay is fair relative to the pay of similar coworkers. As summarized in the teaching note for the cases "Negotiating for Equal Pay: The U.S. Women's National Soccer Team (A) and (B)" (Harvard Business School teaching note 922-032), "compensation is more likely to be fair when equal process assigns employees equal rewards for equal performance given equal opportunity." The principle of "equal process" reflects the concern for having policies and procedures that do not favor one group of employees over others.⁵³ The principle of "equal rewards for equal performance" reflects the desirability of proportionality between the rewards that an employee receives and the employee's contributions to the organization.⁵⁴ The principle of "equal opportunity" is a component of "equal process" that is valuable to highlight as a distinct issue. It captures the notion that all employees should have the same access to the resources and support that are necessary for accomplishing the work that is expected of them.

When employees believe that their pay is unfair, they tend to exert less effort in their jobs.⁵⁵ This finding may be surprising at first. Research on loss aversion suggests that individuals who are concerned that their pay is falling below a reference point would be highly motivated to take steps that increase their pay. Notwithstanding this reasoning, employees who judge their pay to be unfair exert less effort in their jobs because they believe that, due to unfair treatment, exerting greater effort would not necessarily help them avoid a loss. Instead of exerting greater effort in their jobs, these employees direct their energy elsewhere. They spend more time searching for other jobs and are more likely to

⁵¹ The results of the experiment are reported in detail in Lamar Pierce, Alex Rees-Jones, and Charlotte Blank, "The Negative Consequences of Loss-Framed Performance Incentives," NBER Working Paper 26619 (2020).

⁵² Botond Koszegi and Matthew Rabin, "A Model of Reference-Dependent Preferences," *Quarterly Journal of Economics* 121 (2006): 1133–1165. Keith M. Marzilli Ericson and Andreas Fuster, "Expectations as Endowments: Evidence on Reference-Dependent Preferences from Exchange and Valuation Experiments," *Quarterly Journal of Economics* 126 (2011): 1879–1907. Johannes Abeler, Armin Falk, Lorenz Goette, and David Huffman, "Reference Points and Effort Provision," *American Economic Review* 101 (2011): 470–492.

⁵³ E. Allan Lind and Tom R. Tyler, *The Social Psychology of Procedural Justice* (New York, NY: Springer Science+Business Media, 1988).

⁵⁴ J. Stacy Adams, "Inequity in Social Exchange," in Leonard Berkowitz, ed., *Advances in Experimental Social Psychology Volume 2* (New York, NY: Academic Press, 1965): 267–299.

⁵⁵ Simon Gächter and Christian Thoni, "Social Comparison and Performance: Experimental Evidence on the Fair Wage-Effort Hypothesis," *Journal of Economic Behavior and Organization* 76, no. 3 (December 2010): 531–543. Emily Breza, Supreet Kaur, and Yogita Shandasani, "The Morale Effects of Pay Inequality," *Quarterly Journal of Economics* 133, no. 2 (May 2018): 611–663. Zoe Cullen and Ricardo Perez-Truglia, "How Much Does Your Boss Make? The Effects of Salary Comparisons," *Journal of Political Economy* (forthcoming).

quit their current jobs.⁵⁶ They are also more likely to engage in unethical and value-destroying behavior.⁵⁷ These actions are alternative methods for mitigating the loss relative to the reference point of coworker pay.

The cases “Negotiating for Equal Pay: The U.S. Women’s National Soccer Team (A) and (B)” (Harvard Business School cases 920-029 and 920-030) highlight employees’ assessments of and reactions to unfair compensation. The cases tell the story of the U.S. Women’s National Soccer Team (WNT) as it sought to achieve pay equality with the U.S. Men’s National Soccer Team (MNT). During the years 2015-2019, the WNT and the MNT earned approximately the same amount of pay per game from their common employer, the U.S. Soccer Federation (USSF). However, the WNT had a far superior record of success on the field. The WNT won the World Cup in 2015 and 2019, whereas the MNT had never reached the World Cup championship match in its history. Thus, the WNT received less pay than the MNT for the same game result.

The WNT players filed a gender discrimination lawsuit against the USSF in 2019. The judge presiding over the lawsuit largely sided with the USSF, reasoning that when the union representing the WNT players was bargaining with the USSF, it gave up the possibility of receiving high payments if the WNT was very successful in exchange for guaranteed minimum payments that provided the WNT players with downside protection in their pay if they were unsuccessful. By this logic, the WNT players entered a trade willingly, and it would be inappropriate for them to reverse the trade after learning that they would have been better off financially had they not entered the trade.

The judge’s decision relied on the principle of “equal process” and the assumption that the WNT players were represented by effective counsel in their collective bargaining with the USSF. However, without necessarily questioning the judge’s legal reasoning, many observers (including many students who have discussed the case) have concluded that the WNT players’ pay was unfair based on the principle of “equal opportunity.” Why did the WNT players push for downside protection in their pay in their negotiation with the USSF? Due to differences in historical levels of investment in women’s soccer and men’s soccer, professional league salaries for the WNT players were considerably lower than the professional league salaries for the MNT players. The WNT players therefore had a stronger desire to reduce the riskiness of their pay. The difference in outside earning opportunities meant that the WNT players did not have the same opportunity as the MNT players to accept riskiness in their pay and the higher expected rewards that accompany higher risk.

In response to their assessment that their pay was unfair, the WNT players did not reduce the effort they devoted to winning soccer matches. However, consistent with the research findings mentioned above, they were motivated to find other ways to mitigate the loss relative to the reference point of the MNT’s pay. They became outspoken critics of the USSF and public advocates for gender equality in pay. The case illustrates that employees who believe that their pay is unfair sometimes engage in behaviors that are detrimental to their employer. The case helps managers avoid this outcome by deepening their understanding of the factors that cause employees to evaluate their pay as unfair.

⁵⁶ David Card, Alexandre Mas, Enrico Moretti, and Emmanuel Saez, “Inequality at Work: The Effect of Peer Salaries on Job Satisfaction,” *American Economic Review* 102, no. 6 (October 2012): 2981–3003. Conchita D’Ambrosio, Andrew E. Clark, and Marta Barazzetta, “Unfairness at Work: Well-being and Quits,” *Labour Economics* 51 (April 2018): 307–316. Arindrajit Dube, Laura Giuliano, and Jonathan Leonard, “Fairness and Frictions: The Impact of Unequal Raises on Quit Behavior,” *American Economic Review* 109, no. 2 (February 2019): 620–663.

⁵⁷ Francesca Gino and Lamar Pierce, “Dishonesty in the Name of Equity,” *Psychological Science* 20, no. 9 (September 2009): 1153–1160. Kerstin Grosch and Holger A. Rau, “Procedural Unfair Wage Differentials and Their Effects on Unethical Behavior,” *Economic Inquiry* 58, no. 4 (October 2020): 1689–1706.

III.G. Habits

Insight #7: Habits are important drivers of behavior that do not operate through conscious motivation once they are established. However, managers can offer rewards that encourage repeated engagement in a behavior, and this repetition can lead to habit formation.

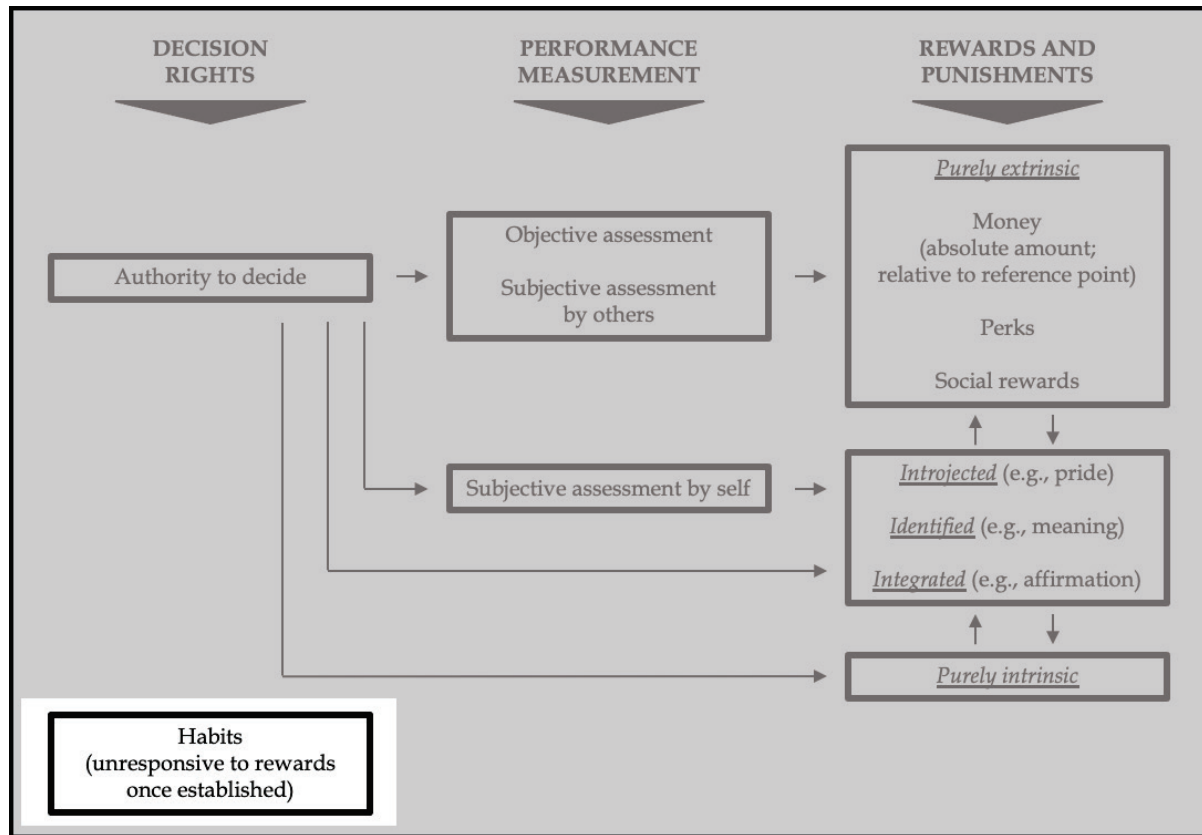
This module note has focused on employee motivation, but it is important to recognize that not all employee behavior is driven by conscious motivation. According to one estimate, between a third and a half of a person's behaviors can be attributed to habits.⁵⁸ In contrast to behavior that is driven by conscious motivation, a habit is

...a pattern of behavior whereby a particular action or set of actions is taken in an automatic fashion in response to a routinely recurring set of contextual cues. A behavior is performed in an automatic fashion if it is performed largely without thinking about how or why the behavior is performed, without conscious effort, and without sensitivity to the rewards associated with the behavior. A habit develops through repetition of a cue-behavior sequence, where the cue can be a time of day, a place, a physical environment, a social environment, or any number of other aspects of the environment. In the presence of a relevant cue, a memory representation of the habitual behavior is conjured in the individual's brain, and the behavior itself follows soon thereafter unless the individual consciously overrides that reaction.⁵⁹

As shown in **Exhibit 15**, habits are largely unresponsive to rewards once they are established. However, a manager can help employees build habits by crafting training programs and other venues for employees to repeatedly rehearse the cue-behavior sequences that eventually form habits.

⁵⁸ Wendy Wood, Jeffrey M. Quinn, and Deborah A. Kashy, "Habits in Everyday Life: Thought, Emotion, and Action," *Journal of Personality and Social Psychology* 83, no. 6 (December 2002): 1281–1297.

⁵⁹ John Beshears, "Magrabi: Fulfilling the Vision for the Future," Harvard Business School Teaching Note 922-034 (Boston: Harvard Business School Publishing, 2022), p. 4. For additional details on the psychology of habits, see Wendy Wood and Dennis Runger, "Psychology of Habit," *Annual Review of Psychology* 67 (2016): 289–314.

Exhibit 15 Habits as Behavioral Patterns That Are Largely Unresponsive to Rewards

Source: Case authors, building on Brian J. Hall, "Incentive Systems," Harvard Business School Note 916-029 (Boston: Harvard Business School Publishing, 2015), p. 7.

The case "Magrabi: Fulfilling the Vision for the Future" (Harvard Business School case 920-009) illustrates how habits can be productively harnessed in an organizational context. Magrabi was an eyewear retailer operating in the Middle East. The organization's leaders decided to shift Magrabi's brand identity to become luxury retailers. As part of this transformation, Magrabi needed to have its in-store sales staff engage in a suite of new behaviors that reinforced the company's new brand identity.

Magrabi hoped to turn the desired sales behaviors into employee habits, and the training programs and related processes that it developed were consistent with behavioral science prescriptions for how to form habits. For example, the cue-behavior link that is the essence of a habit is reinforced through repetition, so training for the sales staff devoted very little time to theoretical discussions and offered many opportunities for the staff to engage in roleplay exercises in which they rehearsed key behaviors in response to cues. An important idea that emerges from the case is that managers who are helping employees form a habit face a tradeoff when deciding how narrowly to define the cue for the desired habitual behavior. According to the psychological theory of habits, defining the cue more narrowly has the advantage that the cue-behavior link becomes stronger. However, in a typical organizational context, a narrowly defined cue will arrive insufficiently frequently at times when it makes sense to

enact the desired behavior, undermining habit formation. A well-chosen cue balances these two factors.⁶⁰

IV. Overview of Sessions

This section briefly recapitulates the cases that were described in more detail in the previous section as illustrations of the seven insights that emerge from the behavioral science perspective on motivation and incentives. The cases are listed in the recommended order of sessions for the module, which allows the ideas to build on each other in a natural way. For instructors who wish to expand their coverage of a particular insight, this section also offers suggestions for additional cases.

1. “Stoy Foods”

Citation: Harvard Business School exercise 918-044, 918-045, 918-046, and 918-047 by John Beshears and Harvard Business School teaching note 922-035 by John Beshears

Topic: Job design (insight #1)

Summary: This exercise illustrates the role of job design in delivering introjected, identified, integrated, and purely intrinsic rewards to employees. In the exercise, four members of a family decide whether to sell their family business to an international buyer. Students perform well in the exercise when they understand and cater to others’ sources of introjected, identified, integrated, and purely intrinsic rewards.

Other suggested teaching materials: The case “The Morning Star Company: Self-Management at Work” (Harvard Business School case 914-013) describes a tomato processing company where employees created their own job descriptions. The case demonstrates that allowing employees to craft their own job duties enhances introjected, identified, integrated, and purely intrinsic rewards.

2. “France Télécom (A): A Challenging Restructuring,” “France Télécom (B): A Wave of Staff Suicides,” and “France Télécom (C): An Unprecedented Trial”

Citation: Harvard Business School cases 721-420, 721-421, and 721-422 by Cynthia A. Montgomery and Ashley V. Whillans and Harvard Business School teaching note 722-438 by Ashley Whillans

Topic: Job design (insight #1)

Summary: This series of cases underscores the power of the introjected, identified, integrated, and purely intrinsic rewards linked to job design. France Télécom eliminated the elements of workers’ jobs that delivered these rewards in an effort to encourage employees to leave the company as part of a restructuring. Tragically, some employees committed suicide due to the distress caused by these changes.

Other suggested teaching materials: The case “Pravost Consulting Services” (Harvard Business School case 918-033) tells the story of a consulting firm where the demands placed on employees contributed to a work environment that undermined employees’ introjected, identified,

⁶⁰ John Beshears, Hae Nim Lee, Katherine L. Milkman, Robert Mislavsky, and Jessica Wisdom, “Creating Exercise Habits Using Incentives: The Trade-off Between Flexibility and Routinization,” *Management Science* 67, no. 7 (July 2021): 4139–4171.

integrated, and purely intrinsic rewards. The case provides an additional opportunity to discuss how poor job design can be demotivating to employees and what techniques can address this problem.

3. “The What Works Centre: Using Behavioral Science to Improve Social Worker Well-being (A) and (B)”

Citation: Harvard Business School cases 921-020 and 921-022 by Ashley Whillans and Shibeal O’Flaherty and Harvard Business School teaching note 921-021 by Ashley Whillans

Topics: Reward efficiency (insight #2) and the interaction of types of rewards (insight #3)

Summary: These cases demonstrate that non-monetary rewards can have high reward efficiency. The value that employees place on these rewards, as measured by the amount of monetary compensation they would be willing to forgo in order to receive the rewards, can exceed the cost to the employer of providing the rewards. The What Works Centre found that notes of appreciation to social workers from their managers had high reward efficiency, delivering strong introjected, identified, and integrated rewards to social workers at low cost. However, the What Works Centre also found that free beverages in the workplace backfired. This extrinsic reward interacted with other types of rewards, making social workers upset because they objected to the suggestion that they were attracted to minor extrinsic benefits instead of the introjected, identified, and integrated rewards associated with their jobs.

Other suggested teaching materials: The case “Simon Cohen at Henco: Sustaining ‘High Performance, Happy People’” (Harvard Business School case 920-005) describes a logistics company that provided employees with a package of monetary and non-monetary rewards focused on employee happiness. The case demonstrates that a company striving to make employees happy can thrive, in part because the package of rewards that it offers takes advantage of reward efficiency. The cases “Recruiting Andrew Yard (A), (B), and (C)” (Harvard Business School cases 911-028, 911-029, and 911-030) show that employers ignore non-monetary rewards at their peril. Andrew Yard was offered a sizable monetary bonus for joining a new employer quickly, and this bonus backfired because Yard interpreted it as suggesting that he was not driven by introjected, identified, and integrated rewards.

4. “GiveDirectly”

Citation: Harvard Business School case 918-036 by John Beshears, Joshua Schwartzstein, Tiffany Y. Chang, and Brian J. Hall and Harvard Business School teaching note 918-040 by Joshua Schwartzstein and John Beshears

Topic: The “internal” incentive system (insight #4)

Summary: This case helps students understand that introjected, identified, and integrated rewards can be part of an “internal” incentive system featuring high controllability and high alignment. GiveDirectly was contemplating a pay-for-performance system that might attract employees who placed little value on the introjected, identified, and integrated rewards associated with contributing to the organization’s value-creating purpose. The system might therefore reduce the extent to which the average employee’s “internal” incentive system served GiveDirectly’s mission.

Other suggested teaching materials: The case “Golden Rule” (Harvard Business School case 909-017) describes an employee who has a very strong “internal” incentive system, and it provides an opportunity to discuss the types of pay-for-performance systems that might succeed in shaping such an employee’s behavior.

5. “Innovation at Moog Inc.”

Citation: Harvard Business School case 922-040 by Brian Hall, Davis Heniford, Dominika Sarnecka, Ashley Whillans, and Caroline Witten

Topic: Organizational culture and non-monetary rewards (insight #5)

Summary: This case shows that a company can rely heavily on organizational culture instead of a pay-for-performance system to motivate employee behaviors. Organizational culture influences the social, introjected, identified, and integrated rewards that employees receive from their work, and Moog harnessed these forces to promote collaborative, solution-oriented behaviors.

Other suggested teaching materials: The case “GE’s Imagination Breakthroughs: The Evo Project” (Harvard Business School case 907-048) shows how difficult it can be to shift an organizational culture from a focus on short-run efficiency enhancements to a focus on long-run innovation.

6. “Social Salary Setting at Spiber”

Citation: Harvard Business School case 920-050 by Ashley Whillans and John Beshears and Harvard Business School teaching note 921-014 by Ashley Whillans and John Beshears

Topic: National culture and non-monetary rewards (insight #5)

Summary: This case builds on the ideas in the case regarding Moog. It demonstrates that national culture is also relevant for incentive systems and that culture can interact with an organization’s compensation system. Spiber’s “set your own salary” system encouraged employees to have challenging conversations with each other. This activity counterbalanced the employees’ tendency to prioritize social cohesion, which was inherited from the company’s Japanese cultural context.

7. “Maritz Automotive”

Citation: Harvard Business School case 920-052 by Brian J. Hall, Lamar Pierce, and Ashley Whillans and Harvard Business School teaching note 921-044 by Ashley Whillans and Lamar Pierce

Topic: Reference points, loss aversion, and pay-for-performance systems (insight #6)

Summary: This case documents that loss aversion can influence how employees respond to pay-for-performance systems. Car dealerships received advances on their monthly bonuses with the obligation to return those bonuses if they did not meet sales quotas. This threat of a loss motivated the dealers to exert greater effort, but the effort was channeled into gaming the incentive system.

Other suggested teaching materials: The cases “Arck Systems (A), (B), (C), (D), (E), and (F)” (Harvard Business School cases 911-056, 911-057, 911-058, 911-059, 911-060, and 911-073) show that the reference points embedded in sales incentive plans, such as the notch points in commission schedules, can motivate salespeople even when those salespeople never attain those reference points.

8. “Negotiating for Equal Pay: The U.S. Women’s National Soccer Team (A) and (B)”

Citation: Harvard Business School cases 920-029 and 920-030 by Christine Exley, John Beshears, Manuela Collis, and Davis Heniford and Harvard Business School teaching note 922-032 by John Beshears and Christine Exley

Topic: Reference points and fairness (insight #6)

Summary: These cases provide an opportunity for students to discuss fairness in compensation. The U.S. Women’s National Soccer Team (WNT) filed a gender discrimination lawsuit against the U.S. Soccer Federation (USSF) because they received less pay than the U.S. Men’s National Soccer Team (MNT) for a given game result. Members of the WNT became outspoken critics of the USSF because they felt unfairly treated.

Other suggested teaching materials: The case “Gerald Weiss” (Harvard Business School case 899-258) allows students to take the perspective of an employee who feels unfairly treated because an employer is reneging on a compensation promise, and it asks students how they would proceed in such a situation.

9. “Magrabi: Fulfilling the Vision for the Future”

Citation: Harvard Business School case 920-009 by John Beshears, Alpana Thapar, and Boris Tsimerinov and Harvard Business School teaching note 922-034 by John Beshears

Topic: Habits (insight #7)

Summary: This case illustrates that managers can help employees turn value-creating behaviors into habits. Magrabi created training programs and other processes that encouraged its in-store staff to repeatedly engage in customer-oriented retail sales behaviors in response to cues, promoting habit formation.

V. Conclusion

The framework presented in this module note provides a guide to managers as they tap into the drivers of employee behavior to encourage employees to contribute to an organization’s purpose. The module note helps managers better understand the full spectrum of rewards underlying human motivation, as well as the importance of habits in determining behavior. Our hope is that leaders will use the insights described in this module note for the purposes of creating value for their organizations and for society.